Practice

Ⓜ AAA — examiner-style MCQ case scenarios

App-written practice questions based on the ICAI SM — not ICAI questions. Chapters in priority order: Ethics → Reporting/Completion → Banks/NBFCs → General principles/QC → Planning/Risk/Evidence → Review/Special areas/PFI/Related services → Digital/ESG → DD/PSU/Group/Internal audit.

How to practise: timer on — 2.5 min per MCQ. Read the question stems and options first, then the case. Mark your answer, then check the answers block (reason + why the closest trap is wrong).

19 Ch 19 — Professional Ethics: examiner-style MCQs

App-written practice questions based on ICAI SM — not ICAI questions.

Case Scenario 1 · Mehrotra Saxena & Co. (5 MCQs × 2 marks)

Mehrotra Saxena & Co. (MSC) is a Lucknow firm of Chartered Accountants with six partners: CA Arvind Mehrotra, CA Kavya Saxena, CA Tarun Bhatia, CA Imran Qureshi, CA Pallavi Dubey and CA Nidhi Rastogi. CA Nidhi is a part-time practising partner. On weekdays she teaches at a university under the Council's specific permission. The firm celebrated its silver jubilee in July 2025 and placed a notice of the celebration in a Lucknow daily. The managing partner, CA Arvind, has also just published a book on GST litigation.

MSC is the statutory auditor of Gomti Polymers Ltd, a listed company with a turnover of ₹420 crore for FY 2025-26. The statutory audit fee is fixed at ₹60 lakh. In October 2025, Gomti's audit committee offered further work:

→ (a) A cost-optimisation advisory project for MSC at a fixed fee of ₹40 lakh.

→ (b) A management consultancy project in data analytics, at ₹28 lakh, for Avadh Insights Pvt Ltd. This company renders management consultancy services. CA Kavya's husband is one of its two directors.

→ (c) Representation before the GST Appellate Authority, at ₹35 lakh, for MSC.

→ (d) The tax audit under Section 44AB, at ₹12 lakh, for MSC.

MSC is a member of "Saxena Bhatia & Affiliates", a network registered with ICAI. Another member of that network, Rastogi Dubey & Co. (no common partner with MSC), has been approached by Gomti's CFO for its internal audit.

CA Tarun has been a director simplicitor of Gomti Holdings Ltd, the holding company of Gomti Polymers, since 2024. He attends only Board meetings and receives sitting fees. CA Arvind is a non-executive director of Kanpur Resins Ltd. MSC has been offered the statutory audit of Kanpur-Kansai Coatings Pvt Ltd, a joint venture of Kanpur Resins. CA Imran has registered as a Registration Authority for issuing digital signatures to clients. CA Pallavi is a member of the Board of Management of Lucknow Urban Co-operative Bank. She has no part in day-to-day operations, is not an auditor of the bank and receives only sitting fees.

For FY 2025-26, MSC has so far accepted 260 tax audit assignments under Section 44AB. It has also accepted 45 audits under Sections 44AD and 44ADA. No partner accepts tax audits in an individual capacity or through another firm. Separately, MSC is leading the formation of a new network with firms from Kanpur and Varanasi and a consulting entity in Dubai.

1. How many more tax audit assignments under Section 44AB can MSC accept in FY 2025-26 under the Council General Guidelines, 2008?

→ (A) 100

→ (B) 40

→ (C) Nil, as the limit is already exceeded

→ (D) 55

2. Which of the following correctly states the position under Chapter IX of the Council General Guidelines, 2008 for the work offered in (a) to (d)?

→ (A) All four may be accepted, since each assignment is individually below the statutory audit fee of ₹60 lakh.

→ (B) Items (a) and (b) together, totalling ₹68 lakh, exceed the statutory audit fee, so both cannot be taken by MSC and its associate concern while MSC remains statutory auditor. Items (c) and (d) are outside the ceiling.

→ (C) Only (a) may be accepted, because (a), (c) and (d) together exceed ₹60 lakh, and (b) is excluded because Avadh Insights is a separate company.

→ (D) The ceiling counts only fees payable to MSC itself. Item (b) is ignored, so (a), (c) and (d) may all be accepted.

3. Regarding the internal audit offered to Rastogi Dubey & Co. and non-audit work by network firms for Gomti Polymers, which statement is correct?

→ (A) Rastogi Dubey & Co. may accept the internal audit. It is a legally separate firm with no common partner, and registration of the network is deemed client consent.

→ (B) Rastogi Dubey & Co. cannot accept the internal audit. The other firms of the network, collectively, may receive non-audit fees from Gomti of up to three times the statutory audit fee, i.e. ₹1.80 crore.

→ (C) Rastogi Dubey & Co. cannot accept the internal audit. The other firms of the network, collectively, may receive non-audit fees from Gomti of up to the statutory audit fee, i.e. ₹60 lakh.

→ (D) Rastogi Dubey & Co. may accept the internal audit because Section 144 of the Companies Act, 2013 restricts only the auditor and its holding or subsidiary companies.

4. Which of the following positions is or are NOT permissible?

→ (i) CA Tarun continuing as a director simplicitor of Gomti Holdings Ltd while MSC audits Gomti Polymers Ltd.

→ (ii) CA Imran acting as a Registration Authority for digital signatures for clients.

→ (iii) CA Pallavi being a member of the Board of Management of Lucknow Urban Co-operative Bank.

→ (iv) MSC accepting the statutory audit of Kanpur–Kansai Coatings Pvt Ltd.

→ (A) (i) only

→ (B) (i) and (iv) only

→ (C) (i), (iii) and (iv) only

→ (D) (iv) only

5. For the new network being formed, which statement is INCORRECT?

→ (A) ICAI shall approve or reject the name applied for in Form A within 30 days of receipt. Approval of the name alone does not entitle the network to practise in its own name.

→ (B) The approved name is reserved for three months. The network must register in Form B within that period, failing which the name stands cancelled.

→ (C) Because the arrangement includes the Dubai entity, the Indian member firms must file a declaration in Form D within 30 days of entering into the network arrangement.

→ (D) MSC may also join the new network while remaining in "Saxena Bhatia & Affiliates", provided it reports the change in Form C within 30 days.

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Answers: 1 (B): CGG 2008 Chapter VI allows 60 tax audits per partner, but a part-time practising partner is not counted, so the limit is 5 × 60 = 300. Audits under Sections 44AD, 44ADA and 44AE are not counted, so 300 − 260 = 40. (A) wrongly counts CA Nidhi (360 − 260). (C) wrongly counts the 44AD and 44ADA audits. (D) makes both errors. 2 (B): Chapter IX applies to listed companies. Fees for other work payable to the auditor and its associate concerns together must not exceed the statutory audit fee. Avadh Insights is an associate concern because a partner's relative (husband) is a director in it and it renders MCS. Audit under any other statute (the tax audit) and representation before an authority are excluded. (D) is the trap: associate concerns are added. 3 (B): Networking guidelines, ethical compliance: if one network firm is the statutory auditor, no network firm may accept internal audit or book-keeping. The ceiling for other firms of the network collectively is three times the statutory audit fee. (C) applies the ceiling meant for the auditing firm. (A) misuses "deemed consent", which relates only to the client's consent to the network itself. 4 (B): ESB decisions: the auditor of a subsidiary cannot be a director of its holding company (independence). A non-executive director of a company, or his firm, should not accept the statutory audit of that company's joint venture. A Registration Authority for digital signatures is permitted. Membership of the Board of Management of a primary (urban) co-operative bank is permitted, being similar to a director simplicitor. 5 (D): A firm is allowed to join only one network, and firms with common partners join only one network. Form C is for a change in the constitution of a registered network, not a route to dual membership. (A), (B) and (C) state the 30-day, 3-month and 30-day rules correctly. The silver jubilee notice and the book are distractors. A silver jubilee notice is permitted, and the book may carry "Chartered Accountant" and the firm name without attainments.

Case Scenario 2 · Narmada Agro Foods Ltd (5 MCQs × 2 marks)

Narmada Agro Foods Ltd (NAFL) is an unlisted public company in Indore, incorporated in March 2018. It processes soya and wheat. Since 2020 it has been the subject of three bank consortium meetings about restructuring. Its audited financial statements for FY 2025-26 show accumulated losses of ₹38 crore. Its entire net worth, before those losses, is ₹35 crore (paid-up capital plus free reserves). Joshi Pandit & Co. (JPC) have been its statutory auditors since FY 2021-22. Their audit fee of ₹4.5 lakh for FY 2024-25 appears as a provision in accounts signed by both NAFL and JPC. It is still unpaid. NAFL says it will pay "after the restructuring". JPC's FY 2024-25 report contained a qualification on inventory valuation. The Managing Director said in a board meeting that the auditors "do not understand the agro business".

The AGM for FY 2025-26 was fixed for 26 September 2026. On 15 September 2026, a shareholder, Mr Harish Vyas, gave special notice of a resolution to appoint CA Neha Kulkarni & Associates (NKA) in place of JPC. NAFL sent the notice to members on 18 September 2026. NAFL sent a copy to JPC by speed post and kept the certificate of posting.

NKA sent its Clause (8) communication to JPC in four ways:

→ (i) by ordinary post under a certificate of posting;

→ (ii) by e-mail to JPC's e-mail address registered with ICAI, from which an acknowledgement e-mail was received;

→ (iii) by Registered A.D., returned with the endorsement "office found locked";

→ (iv) by courier to an old address of JPC (different from the address registered with ICAI on that date), returned with the remark "no such office exists at this address".

The CFO of NAFL offered NKA a certificate signed by him stating that "all requirements of Sections 139 and 140 have been complied with". JPC submitted a representation for circulation to members. It set out how JPC had acted independently and conscientiously during its term and stated its willingness to continue. It also attached a two-page note titled "Value we delivered", listing ₹2.3 crore of cost savings identified by JPC and a testimonial from NAFL's former CFO.

6. Looking only at the dates of the special notice and of the notice to members, which conclusion should NKA draw?

→ (A) The procedure is valid because NAFL sent the notice to members at least 7 days before the AGM.

→ (B) The procedure is defective because the special notice must reach the company not earlier than three months but at least 14 clear days before the meeting. NKA should not accept until compliance is ascertained.

→ (C) The procedure is valid because the 14-day requirement applies only when an auditor is removed before the expiry of his term.

→ (D) The procedure is valid as long as a copy of the special notice was sent to JPC forthwith.

7. Ignoring the defect in Q6, can NKA accept the appointment while JPC's fee of ₹4.5 lakh remains unpaid?

→ (A) No. The fee is undisputed because it is provided in accounts signed by both, and Chapter VII of the CGG 2008 bars acceptance until it is paid.

→ (B) Yes. NAFL has been registered for at least five years and its accumulated losses equal or exceed its entire net worth, so it is a sick unit and the bar does not apply.

→ (C) Yes, but only if JPC issues a no-objection certificate.

→ (D) Yes, because a dispute about fees is not a valid professional reason for declining an audit.

8. Which of NKA's communications provide positive evidence of delivery, or are deemed delivered, under the Council's view on Clause (8)?

→ (A) (i), (ii) and (iii)

→ (B) (ii) and (iii) only

→ (C) (ii), (iii) and (iv)

→ (D) (ii) only

9. Which of the following is NOT something NKA is required to verify or obtain before accepting, as per the Council's guidelines under Clause (9)?

→ (A) A true copy of the special notice given by the member.

→ (B) Evidence that the special notice was effectively served on JPC, for example by hand or Registered A.D. NAFL's certificate of posting is not enough.

→ (C) A copy of the minutes of the general meeting at which the resolution is passed, verified by the Chairman.

→ (D) A no-objection certificate from JPC consenting to the change, in place of the CFO's certificate.

10. Evaluate JPC's representation.

→ (A) The whole representation is permissible, because Section 140(4) gives the retiring auditor a right to have it circulated.

→ (B) The statement of independent and conscientious conduct and the willingness to continue are permissible. The note "Value we delivered" with the testimonial amounts to canvassing and breaches Clause (6) of Part I of the First Schedule.

→ (C) The willingness to continue and the note both breach Clause (7) of Part I of the First Schedule.

→ (D) Only the willingness to continue breaches Clause (6), as it is a direct request for reappointment.

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Answers: 6 (B): Cl (9) guidelines: the special notice under S.140(4) must be sent by members not earlier than three months but at least 14 days before the meeting, excluding the day of the notice and the day of the meeting. 15 Sep to 26 Sep leaves only 10 clear days. The 7-day rule in (A) concerns sending the notice to members, a separate requirement. Without compliance the incoming auditor should not accept. 7 (B): Chapter VII proviso and its Explanation 2: a sick unit is one registered for not less than five years with accumulated losses at the end of any financial year equal to or exceeding its entire net worth. NAFL was registered in 2018, with losses of ₹38 crore against ₹35 crore. (A) ignores the proviso. (D) is wrong because the fee is undisputed; the "fee dispute" principle applies only to disputed fees. 8 (B): Positive evidence comes from Registered A.D., by hand, an acknowledgement from the e-mail registered with ICAI, or UDIN. "Office found locked" on an A.D. is deemed delivered. A certificate of posting is not sufficient (J.S. Bhati). "No such office exists" is deemed delivered only if the address is the one registered with ICAI on the date of dispatch, so (iv) fails. 9 (D): The incoming auditor must verify the records himself. A management certificate is not enough. He obtains a true copy of the special notice and verified minutes, and checks effective service on the retiring auditor. An NOC from the retiring auditor is not required: the client can change auditors, and Cl (8) needs only written communication. 10 (B): Cl (6), Council view on representations under S.140(4): the letter should set out in a dignified manner how he acted independently and conscientiously and may state willingness to continue. It must not amount to canvassing or securing publicity. Highlighting contributions is soliciting (SM TYK 34). The MD's remark and the qualification are distractors. A qualified report is a reason to ascertain the full facts, not an automatic bar.

Case Scenario 3 · Kothari Iyer & Co. (5 MCQs × 2 marks)

Kothari Iyer & Co. (KIC) is a four-partner Pune firm established in 2001. It has grown quickly in GST and insolvency work. CA Meera Iyer, a partner, is an empanelled Insolvency Professional and an associate member of the Institute of Cost Accountants of India (ACMA). CA Rajat Kothari holds an LLB degree from Savitribai Phule Pune University, but he does not practise as an advocate. In FY 2025-26 KIC plans a "visibility drive" approved at its partners' retreat in Lonavala. The partners spent most of the retreat debating new office furniture and a staff bonus scheme.

The drive has four parts. First, a write-up in a Pune newspaper. The draft contains:

→ (i) "Year of establishment: 2001";
→ (ii) "Winner, Best Emerging Firm 2025, Pune Chamber of Commerce";
→ (iii) "Excellence in Public Finance Audit Award 2024, Government of Maharashtra";
→ (iv) the tagline "Numbers You Can Trust";
→ (v) the firm name in 16-point type;
→ (vi) KIC's FRN;
→ (vii) "Affiliated with Deccan & Affiliates (network registered with ICAI)".

Second, sponsorships:

→ (i) KIC sponsors a seminar of the Pune Branch of ICAI (a PoU), for which the CPE Directorate has given prior approval;
→ (ii) CA Rajat sponsors a CSR tree plantation drive, with banners reading "Sponsored by CA Rajat Kothari";
→ (iii) KIC sponsors a corporate cricket tournament, with the firm name displayed on the boundary;
→ (iv) CA Meera sponsors a CSR blood donation camp, with banners reading "Kothari Iyer & Co., Chartered Accountants".

Third, a new website. It runs on a pull model and includes:

→ (i) a page "Our esteemed clients" listing 25 client names (no regulator requires this);

→ (ii) GST educational videos;

→ (iii) a rotating banner advertisement of an accounting software vendor;

→ (iv) a link to KIC's LinkedIn page with a pop-up "Like and follow us for updates!";

→ (v) secure document log-ins for clients.

Fourth, new visiting cards for partners. Meanwhile, CA Rajat placed a classified advertisement in the ICAI Journal seeking a partnership. In it, he described himself as having "15 years of bank audit experience". He actually has 6 years. He repeated the same claim in KIC's response to a bank's tender for concurrent audit.

11. Which items must be removed from the draft write-up?

→ (A) (ii) and (iv) only

→ (B) (ii), (iv) and (v) only

→ (C) (i), (ii), (iv) and (v) only

→ (D) (ii), (iii), (iv) and (v) only

12. Which of the sponsorships are permissible?

→ (A) (i) only

→ (B) (i) and (ii) only

→ (C) (i), (ii) and (iv) only

→ (D) (ii) and (iv) only

13. Which website features breach the Council Guidelines for Advertisement, 2008?

→ (A) (i) and (iii) only

→ (B) (i), (iii) and (iv) only

→ (C) (i), (ii), (iii) and (iv) only

→ (D) (iii) and (iv) only

14. Which of the following may appear on a partner's visiting card without breaching Section 7 read with Clause (7) of Part I of the First Schedule? (i) "Insolvency Professional" on CA Meera's card; (ii) "ACMA" after CA Meera's name; (iii) "LLB" after CA Rajat's name; (iv) "Tax Consultant" on CA Rajat's card; (v) "Est. 2001" under the firm name.

→ (A) (i), (ii) and (iii) only

→ (B) (i), (ii), (iii) and (v) only

→ (C) (i) and (ii) only

→ (D) (ii), (iii) and (iv) only

15. CA Rajat's overstatement of experience in the ICAI Journal advertisement and in the tender response is professional misconduct under:

→ (A) Clause (2) of Part III of the First Schedule

→ (B) Clause (3) of Part III of the First Schedule

→ (C) Clause (3) of Part II of the Second Schedule

→ (D) Clause (7) of Part I of the First Schedule only

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Answers: 11 (B): Advertisement Guidelines 2008, write-up conditions: (F) no awards except those given by the Central or State Government or regulatory bodies, so (ii) goes and (iii) stays. (G) no catch words, so (iv) goes. (I) font not exceeding 14, so (v) goes. "Year of establishment", the FRN (mandatory) and affiliation with a registered network are expressly allowed. Trap (C): the bar on the date of establishment applies to letterheads under Cl (7), not to write-ups. 12 (B): Cl (6), sponsoring: a firm may sponsor only an event of an ICAI PoU with prior CPE Directorate approval. For CSR, members may mention their individual name with the prefix "CA"; the firm name and CA logo are not permitted, so (iv) fails. (iii) is a firm sponsoring a non-ICAI event. 13 (B): Website guidelines: client names only where a regulator requires them; no banner or any other advertisement; a link to a social networking page is allowed, but members must not solicit people to visit or "like" it. Educational videos and client document log-ins are expressly allowed. 14 (A): Clause (7) allows a degree of a university established by law (LLB) and titles of recognised bodies. ACMA letters are allowed, but not the designation "Cost Accountant". "Insolvency Professional" may be mentioned by an empanelled member. "Tax Consultant" is not a degree or a recognised membership. The date of setting up practice or establishment of the firm should not be on letterheads and other professional documents. 15 (B): First Sch Pt III Cl (3): giving information knowing it to be false while inviting work from another CA, responding to tenders, or advertising through a write-up (items (6) and (7) of Part I). (A) is failing to supply information to the Institute. (C) is false particulars in submissions to the Institute or its bodies. A classified advertisement is not a submission to the Institute. The retreat and furniture are distractors.

Case Scenario 4 · Banerjee Ghosh & Associates (5 MCQs × 2 marks)

Banerjee Ghosh & Associates (BGA) is a Kolkata firm. It audits Hooghly Jute Ltd, a company listed on BSE with a net worth of ₹180 crore at 31 March 2026. During the FY 2025-26 audit, the engagement partner, CA Debashis Ghosh, found payments of ₹1.2 crore to a pollution-board consultant that looked like bribes for an effluent clearance. Separately, Hooghly's CFO, CA Ritu Sen, a key managerial person, had found the same payments while reviewing major expenditure. Most of the audit file deals with jute price hedging and an Ind AS 116 lease restatement, which took up the team's time.

In March 2026, BGA's accounts team recorded these client receipts:

- (i) ₹85,000 received in advance for GST advisory services to be rendered next quarter;
- (ii) ₹30,000 received for MCA filing fees and stamp paper, to be spent within the week;
- (iii) ₹6.5 lakh received by CA Debashis as executor of the estate of the late Mr Arun Sen;
- (iv) ₹4 lakh received from Sundarban Education Trust, to be placed in a fixed deposit "after the trustees decide the bank", expected in about five months.

BGA also issued a certificate to Sundarban Education Trust for utilisation of a ₹2.4 crore government grant. It relied on a summary prepared by the trustees. Vouchers for ₹1.1 crore were not seen, and the certificate did not state its basis, assumptions or limitations. BGA's fee was 0.5% of the utilisation amount certified.

In May 2026, the Trust's donor filed a complaint with ICAI. It alleged lack of due diligence on the certificate and also alleged that BGA had solicited the Trust by e-mailing a fee brochure to its trustees. In an unrelated matter, BGA's partner CA Sourav Banerjee was convicted by a criminal court in Kolkata of an offence punishable with imprisonment of up to two years. He was sentenced to eight months.

16. Which receipts must be put in a separate bank account immediately?

- (A) (i), (iii) and (iv)
- (B) (iii) and (iv) only
- (C) (iii) only
- (D) (ii), (iii) and (iv)

17. On the utilisation certificate, which statement is correct?

→ (A) BGA is guilty under Clauses (7) and (8) of Part I of the Second Schedule. Charging fees as a percentage of the utilisation amount is permissible as per the Ethical Standards Board.

→ (B) BGA is guilty under Clauses (7) and (8) of Part I of the Second Schedule, and also under Clause (10) of Part I of the First Schedule for the percentage-based fee.

→ (C) BGA is not guilty, because a certificate is only an opinion and the trustees' summary is sufficient evidence.

→ (D) BGA is guilty only under Clause (5) of Part I of the Second Schedule, for not disclosing a material fact.

18. Under the Code of Ethics as applicable in India, which statement about NOCLAR is correct?

→ (A) Section 360 applies to CA Debashis and Section 260 applies to CA Ritu.

→ (B) Section 260 applies to CA Ritu. Section 360 does not apply to CA Debashis, as Hooghly's net worth is below ₹250 crore, though SA 250 continues to apply to the audit.

→ (C) Section 360 applies to CA Debashis only, as Section 260 is limited to directors of listed entities.

→ (D) Neither applies, as NOCLAR in India covers only entities with a net worth of ₹250 crore or more.

19. The donor's complaint alleges misconduct under both Schedules. Where will the Director (Discipline) place it, and what is the maximum penalty if BGA's partner is found guilty?

→ (A) Board of Discipline: reprimand, removal of name for up to 3 months, fine up to ₹1,00,000.

→ (B) Disciplinary Committee: reprimand, removal of name permanently or for any period it thinks fit, fine up to ₹5,00,000. Appeal to the Appellate Authority within 90 days.

→ (C) The Board of Discipline for the First Schedule charge and the Disciplinary Committee for the Second Schedule charge, separately.

→ (D) Disciplinary Committee: removal of name for up to 3 years, fine up to ₹5,00,000. Appeal to the High Court within 30 days.

20. CA Sourav's conviction falls under:

→ (A) Clause (1) of Part IV of the First Schedule: other misconduct

→ (B) Part III of the Second Schedule: other misconduct

→ (C) No misconduct, as the offence is unrelated to professional work

→ (D) Clause (2) of Part IV of the First Schedule only, as it brings disrepute

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Answers: 16 (B): Cl (10) Part I Second Sch, Council suggestions: an advance against services is outside Cl (10); money for expenses to be spent within a reasonably short time need not be put in a separate account; money not to be spent within a reasonably short time, and money received as trustee, executor or liquidator, must be put in a separate account immediately. (A) wrongly includes the advance. 17 (A): A certificate issued without seeing vouchers and without stating its basis or limitations shows a lack of due diligence and a failure to obtain sufficient information. The SM cites Cl (7) and (8) for certificates that do not state limitations or assumptions. ESB decision: fees as a percentage of the utilisation amount for certifying an educational institute's spending out of a grant are permissible, so (B) is wrong. A certificate is a written confirmation of facts, not an estimate or opinion, so (C) is wrong. 18 (B): Section 260 applies to senior professional accountants (KMP) employed by listed entities. Section 360 applies to audits of entities that are listed and have a net worth of ₹250 crore or more. (D) wrongly extends the net-worth test to Section 260. 19 (B): Where misconduct falls in the Second Schedule or both, the Director (Discipline) places the matter before the Disciplinary Committee. Its powers are reprimand, removal permanently or for any duration, and a fine up to ₹5,00,000. Appeal lies within 90 days to the Appellate Authority. 20 (B): Second Sch Part III: held guilty by a civil or criminal court of an offence punishable with imprisonment for a term exceeding six months. First Sch Pt IV Cl (1) covers terms not exceeding six months. Other misconduct need not relate to professional work. The hedging and lease work are distractors.

Standalone MCQs (2 marks each)

21. Which of the following fee arrangements breaches Clause (10) of Part I of the First Schedule read with Regulation 192? (i) CA Kumar, the statutory auditor of Velu Steels Ltd, agrees to handle the company's appeal before the ITAT for 10% of the tax demand reduced. (ii) CA Pooja agrees with an unrelated (non-audit) client to a fee of 15% of the savings from a cost-optimisation exercise. (iii) CA Anand, a valuer for direct tax purposes, charges 0.5% of the value of the property valued. (iv) CA Isha charges 1% of the funds raised for a start-up that is not her audit client.

→ (A) (i) only
→ (B) (i) and (ii) only
→ (C) (ii) only
→ (D) None of them

22. CA Farhan, in practice, takes up the following during FY 2025-26: (i) editor of a monthly lifestyle magazine; (ii) part-time tutor in the Institute's coaching organisation; (iii) a 30% interest in an educational institution; (iv) Surveyor and Loss Assessor under the Insurance Act, 1938 (being eligible); (v) visiting lecturer in an MBA programme of a private university. Which require the specific and prior approval of the Council?

→ (A) (i) and (iii) only
→ (B) (i), (iii) and (v) only
→ (C) (i), (iii), (iv) and (v) only
→ (D) (iii) and (v) only

23. CA Vinod, sole proprietor, was abroad from 10 to 30 September 2025. His employee, CA Shreya, who is not a partner, did the following in the firm's name: (i) signed and uploaded a tax audit report under Section 44AB; (ii) issued a memorandum of physical verification of cash at a client; (iii) signed a net-worth certificate for a client's visa application; (iv) raised bills and issued receipts for fees. For which acts is CA Vinod guilty under Clause (12) of Part I of the First Schedule?

→ (A) (i) only
→ (B) (i) and (iii) only
→ (C) (i), (ii) and (iii) only
→ (D) None, since CA Shreya is a member of the Institute

24. Which pairing of a circumstance with the threat it creates, as given in the Code of Ethics, is INCORRECT?

→ (A) An audit team member having a long association with the audit client: familiarity threat
→ (B) A professional accountant who accepted a significant gift from a client and is threatened that this will be made public: self-interest threat
→ (C) A professional accountant lobbying in favour of legislation on behalf of a client: advocacy threat
→ (D) A professional accountant in service deciding the accounting for a business combination after doing the feasibility study for the purchase: self-review threat

25. CA Lata accepts the statutory audit of Tapti Pharma Ltd, a subsidiary of a Singapore company. Under ICAI's KYC norms for a corporate client, which set lists ALL the "Regulatory Information" she must keep?

→ (A) Company PAN, CIN, DIN, name of the parent company
→ (B) Company PAN, CIN, directors' names and addresses, DIN
→ (C) CIN, DIN, copy of last audited financial statements, Company PAN
→ (D) Company PAN, CIN and DIN only

26. Shah Mehta & Co.'s total gross fees were ₹1.60 crore in FY 2024-25 and ₹1.80 crore in FY 2025-26. Client X, a public interest entity, paid ₹36 lakh and ₹38 lakh in those years. Client Y, not a public interest entity, paid ₹58 lakh and ₹75 lakh. Neither client is a government company or a government-appointed audit. Under the recommended self-regulatory measure on relative size of fees, disclosure is required for:

→ (A) X only
→ (B) Y only
→ (C) Both X and Y
→ (D) Neither, since the firm's fees exceed ₹20 lakh

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Answers: 21 (A): Regulation 192(h) permits contingent fees for non-assurance services to **non-audit** clients. Velu Steels is an audit client, so the exception does not apply (SM TYK 29 turns on the client being a non-audit client). Cost optimisation (% of benefit), a valuer for direct taxes (% of value) and fund raising (% of funds) are expressly permitted. 22 (B): Appendix 9 specific resolution: editorship of journals other than professional journals; interest in an educational institution; lectureship for courses other than those of the Institute. Part-time tutorship under the Institute's coaching organisation and Surveyor and Loss Assessor are under general permission. 23 (B): Clause (12) read with S.26: only a partner may sign reports, certificates and financial statements. The Council allows delegation only of routine documents carrying no opinion or authentication, such as a memorandum of cash verification and raising bills and receipts. A tax audit report and a net-worth certificate are reports or certificates. (D) is the trap: membership is not enough; the person must be a partner. 24 (B): The SM lists the significant-gift case with the threat of publicity under **intimidation**. A gift from a supplier to a PA in service is self-interest. 25 (B): Corporate entity, C. Regulatory Information: Company PAN, Company Identification No., directors' names and addresses, Directors' Identification No. The name of the parent company and the last audited FS are General Information. 26 (A): Disclosure is needed where, for **two consecutive years**, fees from one audit client exceed 20% (PIE) or 40% (non-PIE) of total fees. X: 22.5% and 21.1%, both above 20%. Y: 36.25% and 41.7%, above 40% in only one year. The ₹20 lakh exemption applies only where the firm's total fees do **not** exceed ₹20 lakh.

M2 MCQ case scenarios — Ch 6 Completion and Review, Ch 7 Reporting

App-written practice questions based on ICAI SM — not ICAI questions.

Case Scenario 1 — Vardhaman Polymers Limited (SA 700, 701, 705, 706, 720)

Vardhaman Polymers Limited (VPL), whose equity shares are listed on BSE and NSE, manufactures speciality polymer films at Vapi and Silvassa and sells them through a depot at Guwahati and a branch at Dubai. For FY 2025-26 its revenue was ₹ 1,840 crore and total assets ₹ 2,100 crore. Kedia & Associates are the statutory auditors; CA Rohan Kedia is the engagement partner. The year was eventful: VPL commissioned a new BOPP line at a cost of ₹ 410 crore, renegotiated its power purchase agreement, and its promoter group sold 4% of its holding through an offer for sale. Analysts' calls focused on the BOPP line's ramp-up.

During the audit the following came up:

1. Because film prices fell 22% in the second half, management tested the Silvassa cash-generating unit (carrying amount ₹ 640 crore) for impairment using a five-year cash flow model. The discount rate and terminal growth rate involved high estimation uncertainty; the engagement team involved an internal valuation expert and spent substantial time on it. The impairment test is fully disclosed in Note 34. No misstatement was found.
2. On 18 April 2026, a fire at the Vapi finished-goods warehouse destroyed stock of ₹ 96 crore. Management has disclosed it in Note 41 as a non-adjusting event. Insurance cover is adequate. The matter did not need significant auditor attention, but CA Rohan considers it fundamental to users' understanding.
3. The Dubai branch's financial statements (total assets ₹ 120 crore, revenue ₹ 85 crore) were audited by a branch auditor whose report was received and relied upon.
4. Inventory of ₹ 126 crore at the Guwahati depot could not be counted at the year end because of floods in the region. Alternative procedures failed because the depot's stock records were also damaged. No other area was affected. CA Rohan judges the possible effect to be material but not pervasive.
5. The draft Chairman's statement in the annual report, received on 12 May 2026, says "sales volumes grew 18% this year". The audited financial statements show a 6% fall in volumes. Management refused to change the statement, saying the Chairman's speech is "outside the audit".
6. At the Audit Committee meeting on 20 May 2026, the chairperson asked that the impairment matter be left out of the report because "investors will over-react after the offer for sale".

The report is to be signed on 26 May 2026.

1. Which combination correctly places items 1 to 3 in the auditor's report?

→ (A) Item 1 — Emphasis of Matter; item 2 — Key Audit Matter; item 3 — Other Matter

→ (B) Item 1 — Key Audit Matter; item 2 — Emphasis of Matter; item 3 — Other Matter

→ (C) Item 1 — Key Audit Matter; item 2 — Other Matter; item 3 — Emphasis of Matter

→ (D) Item 1 — Key Audit Matter; item 2 — Key Audit Matter; item 3 — Basis for Opinion section

2. For item 4, which is the correct heading and wording of the opinion?

→ (A) "Qualified Opinion … except for the effects of the matter described in the Basis for Qualified Opinion section …"

→ (B) "Qualified Opinion … except for the possible effects of the matter described in the Basis for Qualified Opinion section …"

→ (C) "Opinion … subject to the matter described in the Other Matter paragraph …"

→ (D) "Disclaimer of Opinion … because of the significance of the matter …"

3. How should CA Rohan respond to the Audit Committee's request in item 6?

→ (A) Agree, because key audit matters are selected from matters communicated with those charged with governance, so the Audit Committee decides what is communicated.

→ (B) Agree, but move the description to an Emphasis of Matter paragraph so that users are still informed.

→ (C) Refuse; a key audit matter may be left out only where law or regulation precludes public disclosure or, in extremely rare circumstances, the adverse consequences would reasonably be expected to outweigh the public interest benefits — expected investor reaction after an offer for sale is not such a case.

→ (D) Refuse, and qualify the opinion because the Audit Committee tried to limit the scope of the audit.

4. In respect of item 5, management has refused and the matter has been taken to those charged with governance, who also refuse to correct it. Which of the following is NOT an action required or permitted by SA 720 at this stage?

→ (A) Consider the implications for the auditor's report and tell those charged with governance how the auditor plans to deal with the misstatement in the report.

→ (B) Describe the uncorrected material misstatement of the other information in the "Other Information" section of the report.

→ (C) Withdraw from the engagement, where withdrawal is possible under applicable law or regulation.

→ (D) Modify the opinion on the financial statements, because the Chairman's statement forms part of the financial statements on which the opinion is expressed.

5. Where should item 4 be dealt with, and how does it affect the Key Audit Matters section?

→ (A) Describe it as a key audit matter, explaining the alternative procedures attempted; no modification needed because KAM gives users full information.

→ (B) Describe it only in the Basis for Qualified Opinion section; a matter giving rise to a modified opinion is not communicated as a key audit matter.

→ (C) Describe it in an Emphasis of Matter paragraph, since floods are a "major catastrophe" listed in SA 706.

→ (D) Since the opinion is modified, the Key Audit Matters section must be omitted from the report.

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Answers: 1 (B) — Impairment needed significant auditor attention and involved high estimation uncertainty → KAM (SA 701 determination factor (b)); fire is a subsequent event appropriately disclosed, fundamental, not a KAM → EOM (SA 706); branch audited by branch auditor is not in FS → OMP (SM Illustration 9). Trap (A) swaps KAM and EOM — EOM needs the matter not to be a KAM. 2 (B) — Inability to obtain SAAE, material not pervasive → qualified with "except for the ***possible*** effects" (SA 705, para 5.8). (A) is the misstatement wording; (C) "subject to" is not clear enough (SM, notes vs qualifications); (D) needs material and pervasive. 3 (C) — SA 701 exceptions as stated in the SM (SA 700 auditor's responsibilities section and SA 701); TCWG are told the KAMs but do not decide them. (B) wrong: EOM cannot be used for a KAM and is not a substitute for KAM description. 4 (D) — Opinion does not cover other information; SA 720 actions are (A), (C) and the statement in the Other Information section (B). 5 (B) — SA 701 matter needing modification is not a KAM (SM answer TQ 16); the KAM section carries "Except for the matter described in the Basis for Qualified Opinion section…" (Illustration 2). (D) is the rule for ***disclaimer***, not qualified opinion.

Case Scenario 2 — Saptagiri Agro Foods Private Limited (CARO 2020, s.143)

Saptagiri Agro Foods Private Limited (SAFPL), Nashik, processes grapes and onions into dehydrated products. It is not a subsidiary or holding company of any public company. Its promoters, the Deshmukh family, plan to list a sister concern in 2027 and have asked the auditors, Joshi Pande & Co., to "keep the report short this year". Figures for FY 2025-26:

Item	₹
Paid-up capital + reserves and surplus at 31.3.2026	0.92 crore
Revenue from operations (Schedule III), incl. discontinued onion line	9.40 crore
Borrowings from banks — peak on 10 Oct 2025 / at 31.3.2026	1.35 crore / 0.70 crore
Unsecured loan from a director at 31.3.2026	0.80 crore

The bank term loan of ₹ 0.80 crore was sanctioned in July 2025 for a cold-storage unit; ₹ 0.25 crore of it was used to repay an old supplier. During the audit, CA Pallavi Pande found that the accounts manager had siphoned off ₹ 68 lakh through fictitious vendor payments. Statutory dues at 31.3.2026 included: GST of ₹ 6 lakh payable on 20 August 2025, not paid; PF of ₹ 2 lakh payable on 15 December 2025, not paid; an income-tax demand of ₹ 14 lakh against which an appeal is pending before the CIT(Appeals); and an excise demand of ₹ 3 lakh raised on 10 January 2026, against which the company has only written a letter to the department. The company has no audit committee.

6. Does CARO 2020 apply to SAFPL for FY 2025-26?

→ (A) No — capital and reserves are under ₹ 1 crore, revenue is under ₹ 10 crore and year-end bank borrowings are only ₹ 0.70 crore.

→ (B) Yes — bank borrowings exceeded ₹ 1 crore at a point of time during the year, so one of the three conditions for exemption fails.

→ (C) Yes — total borrowings at year-end including the director's loan are ₹ 1.50 crore.

→ (D) No — a private company with revenue below ₹ 10 crore is a small company and is exempt.

7. Regarding the ₹ 68 lakh fraud, which statement is correct?

→ (A) Report to the Central Government in Form ADT-4 within 15 days, since the fraud is by an employee.

→ (B) Report to the Board immediately but not later than 2 days of knowledge, stating nature with description, approximate amount and parties involved; the company discloses it in the Board's report; under CARO 3(xi)(b) the auditor states that no ADT-4 was filed.

→ (C) Report to the Board within 45 days and seek its reply within 15 days.

→ (D) No reporting under section 143(12) is needed because the company has no audit committee; report only under CARO 3(xi)(a).

8. Which dues are reported under clause 3(vii)(a) as arrears outstanding for more than six months, and which under 3(vii)(b)?

→ (A) 3(vii)(a): GST and PF; 3(vii)(b): income tax and excise

→ (B) 3(vii)(a): GST only; 3(vii)(b): income tax and excise

→ (C) 3(vii)(a): GST only; 3(vii)(b): income tax only

→ (D) 3(vii)(a): GST, PF and excise; 3(vii)(b): income tax only

9. The use of ₹ 0.25 crore of the term loan to repay a supplier is reportable under:

→ (A) Clause 3(ix)(d) — short-term funds used for long-term purposes

→ (B) Clause 3(x)(a) — money raised not applied for the purpose

→ (C) Clause 3(ix)(c) — term loans not applied for their purpose; amount diverted and its use

→ (D) Clause 3(iii)(b) — terms prejudicial to the company's interest

10. On reporting on internal financial controls under section 143(3)(i) for SAFPL:

→ (A) Required, because CARO 2020 applies to the company.
→ (B) Required, because aggregate borrowings including the director's loan exceed ₹ 1 crore.
→ (C) Not required, because a private company with turnover below ₹ 50 crore (latest audited FS) and aggregate borrowings from banks, FIs or any body corporate below ₹ 25 crore at every point of the year is exempt.
→ (D) Not required, because section 143(3)(i) applies only to listed companies.

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Answers: 6 (B) — Exemption (v) needs all three: capital + reserves ≤ 1 crore on BS date, bank/FI borrowings not exceeding 1 crore ***at any point of time***, revenue ≤ 10 crore. Peak 1.35 crore breaks it. (A) uses year-end balance; (C) counts the director's loan, which is not "bank or financial institution"; (D) small-company status is not given in the facts; revenue alone does not decide it. 7 (B) — Below 1 crore: report to Audit Committee (s.177) or Board in other cases, within 2 days, with nature, amount, parties (Rule 13(3)); Board's report disclosure (Rule 13(4)); CARO 3(xi)(a) nature and amount, 3(xi)(b) whether ADT-4 filed. (A) is the ≥ 1 crore route; (C) mixes 45/15 days of that route. 8 (C) — GST payable 20.8.2025 is outstanding more than six months on 31.3.2026; PF (15.12.2025) is not yet six months; income tax under appeal is a dispute (amount + forum); a mere representation to the department is not a dispute, so the excise demand is an undisputed due, and being payable from January 2026 it is not yet more than six months old — it falls in neither list. 9 (C) — Term loan diverted → 3(ix)(c). (A) is short-term funds; (B) is IPO/FPO money. 10 (C) — Proviso to 143(3)(i) as given in SM. CARO applicability has no bearing.

Case Scenario 3 — Meghdoot Logistics Limited (SA 560, 570, 580)

Meghdoot Logistics Limited (MLL), an unlisted public company in Kolkata, runs cold-chain trucking for pharma and dairy clients. M/s Sethi & Co. are statutory auditors for FY 2025-26; CA Ananya Sethi is the engagement partner. The year saw a diesel price spike, a three-week transporters' strike in Bihar, and the exit of two senior operations managers to a competitor. Revenue fell from ₹ 410 crore to ₹ 296 crore.

Key facts:

→ Raibha Dairy Ltd, MLL's largest customer, owed ₹ 4.2 crore at 31 March 2026. On 18 April 2026 an insolvency petition against Raibha, filed in February 2026 for defaults since December 2025, was admitted. MLL has made no provision.
→ MLL's bank declined to renew the ₹ 40 crore working capital limit falling due in September 2026. Management plans to sell its Howrah warehouse and has given a cash flow forecast. CA Ananya concludes that the going concern basis is appropriate but a material uncertainty exists; Note 38 discloses the events, management's plans and the uncertainty clearly.
→ The Board approved the financial statements on 28 May 2026. The CFO, who joined in January 2026, signed the representation letter on 2 June 2026, covering only January–March 2026, saying he "cannot speak for the previous CFO's period". CA Ananya intends to sign the report on 30 May 2026.
→ After the report was signed and handed to the Board, but before the annual report was sent to shareholders, CA Ananya learnt on 10 July 2026 that an arbitral award of ₹ 3 crore had gone against MLL on a contract dispute of 2024-25. Management refused to amend the financial statements.

11. The admission of the insolvency petition against Raibha Dairy on 18 April 2026 requires:

→ (A) Adjustment of the financial statements for 31 March 2026, as it gives evidence of conditions that existed at the balance sheet date.
→ (B) Disclosure only, as the event happened after the balance sheet date.
→ (C) No action, as subsequent events after the balance sheet date are outside the audit period.
→ (D) An Emphasis of Matter paragraph in place of adjustment, since the event is significant.

12. Which statement about the representation letter is correct?

→ (A) It is acceptable; written representations may be dated after the auditor's report as long as they are obtained before the AGM.
→ (B) The report cannot be dated 30 May 2026 because the representations are dated 2 June 2026; representations must be dated as near as practicable to, but not after, the report date, and must cover the whole year even though the CFO joined in January.
→ (C) The CFO is right that he cannot represent for April–December 2025; the auditor should obtain that part from the previous CFO.
→ (D) Since the Board approved the FS on 28 May 2026, the representations must be dated 28 May 2026 exactly.

13. On the going concern matter, which combination is correct? (I) Unmodified opinion (II) Separate section "Material Uncertainty Related to Going Concern" (III) Emphasis of Matter paragraph on Note 38 (IV) Qualified opinion (V) Report under CARO clause 3(xix)
→ (A) (I), (III) and (V)
→ (B) (I), (II) and (V)
→ (C) (IV), (II) and (V)
→ (D) (I) and (II) only; CARO does not deal with liquidity

14. Regarding the arbitral award learnt on 10 July 2026, what should CA Ananya do now?
→ (A) Nothing; the auditor has no obligation to perform procedures after the date of the report.
→ (B) Modify the opinion in the report already issued and send it to the Registrar.
→ (C) Notify those charged with governance not to issue the financial statements to third parties before the necessary amendments; if they are issued anyway, take appropriate action to seek to prevent reliance on the auditor's report.
→ (D) Issue a new report with an Emphasis of Matter paragraph on the award, dated 10 July 2026.

15. Suppose CA Ananya had instead concluded that use of the going concern basis was inappropriate, and management agreed to state this fact in Note 38 while continuing to prepare the FS on the going concern basis. The opinion would be:
→ (A) Unmodified with a Material Uncertainty Related to Going Concern section, since the fact is disclosed.
→ (B) Qualified, since disclosure is made but the basis is wrong.
→ (C) Adverse, regardless of the disclosure of inappropriateness.
→ (D) Disclaimer, since the auditor cannot predict future events.

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Answers: 11 (A) — Defaults since December and a petition filed in February show the condition existed at 31 March; like SM TYK 1 (claim settled after year end) → adjust. (B) fits conditions arising after year end (SM TYK 2 dividend). (D) EOM is not a substitute for required accounting. 12 (B) — SA 580: not after report date; report cannot be dated before WR; current management must cover the whole period (SM TQ 3, 5). (C) is the exact excuse the SM rejects. 13 (B) — MU adequately disclosed → unmodified + MUGC section (SA 570); CARO 3(xix) asks whether no material uncertainty exists about meeting liabilities within one year. (A) EOM is not used for MU on going concern (SA 706 / SA 701 "not a substitute"). 14 (C) — Fact after report date, before FS issued; management refuses; report already given → SA 560 (SM chart; May 2026 MCQ CS-1 Q4 pattern). (A) ignores the "respond" objective; (D) needs management to amend first. 15 (C) — SA 570: adverse opinion even if FS disclose the inappropriateness (SM TYK 4).

Standalone MCQs

16. The FY 2024-25 report on Kaveri Textiles Ltd carried a qualified opinion for non-provision of ₹ 85 lakh for diminution in value of investments. In FY 2025-26 the provision is still not made. The effect on FY 2025-26 figures is immaterial, but comparability is affected. Corresponding figures are presented. The FY 2025-26 report should:

→ (A) Be unmodified, since the current-year effect is immaterial and corresponding figures are not covered by the opinion.

→ (B) Be modified, and the Basis section should explain that the opinion is modified because of the effect of the unresolved matter on the comparability of current and corresponding figures.

→ (C) Carry an Other Matter paragraph stating that last year's report was qualified.

→ (D) Be modified, referring to both current and corresponding figures as the current-period effect is material.

17. Which statement on SA 710 is NOT correct?

→ (A) For comparative financial statements, the opinion refers to each period presented.

→ (B) If the opinion on a prior period now differs from the one previously issued, the substantive reasons are disclosed in an Other Matter paragraph.

→ (C) If prior-period figures are unaudited and this is stated in an Other Matter paragraph, the auditor is relieved from obtaining evidence on opening balances.

→ (D) Where a predecessor audited the prior period and the auditor decides to refer to it, the report states the type of opinion and the date of the predecessor's report.

18. Which statement about CARO 2020 thresholds is NOT correct?

→ (A) Clause 3(i)(d): amount of change on revaluation is specified if it is 10% or more in the aggregate of the net carrying value of each class of PPE or intangible assets.

→ (B) Clause 3(ii)(a): discrepancies of 10% or more in the aggregate for each class of inventory are reported.

→ (C) Clause 3(ii)(b) applies only if working capital limits exceeding ₹ 5 crore are sanctioned and outstanding on the balance sheet date.

→ (D) Clause 3(iii)(d): the total amount overdue for more than ninety days is stated.

19. CA Meera is auditor of Prayag Chemicals Ltd, a listed company that follows the April–March financial year. She decides on 20 November 2025 to resign. Limited review reports have been issued up to the quarter ended 30 June 2025. Under SEBI circular dated 18 October 2019 as given in the SM, before resigning she must issue:

→ (A) Limited review report for the quarter ended 30 September 2025 only.

→ (B) Limited review reports for the quarters ended 30 September 2025 and 31 December 2025.

→ (C) The audit report for the full year 2025-26.

→ (D) Nothing further, as she resigned before the year end.

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Answers: 16 (B) — SA 710 (SM TQ 11): prior qualification unresolved → modify; if current effect is not material, explain modification due to effect on comparability. (D) applies only when current effect is material. 17 (C) — Disclosure does not relieve the auditor from obtaining SAAE that opening balances are free from material misstatement. 18 (C) — Clause 3(ii)(b) applies if limits in excess of 5 crore were sanctioned "during any point of time of the year", not at year end. 19 (B) — 20 November is more than 45 days after quarter ended 30 September (45 days end 14 November), so the report for that quarter **and the next** quarter is required. (A) would apply within 45 days; (C) only if limited reviews for all three quarters had been issued.

14 Ch 14 — MCQ case scenarios

App-written practice questions based on ICAI SM — not ICAI questions.

Case 1 — Narmada Bank, Indore Main Branch (statutory branch audit, FY 2025-26)

Joshi Bhandari & Co., a single CA firm, is the statutory branch auditor of the Indore Main Branch of Narmada Bank, a nationalised bank, for the year ended 31 March 2026. The branch was renovated in November 2025 and the cash department moved to the ground floor; the branch manager proudly showed the new CCTV room. Cash in the two ATMs and the cash deposit machine was counted by the audit team on 31 March 2026 along with the vault cash, and agreed with CBS. Three clerks were transferred during the year after 6 years at the branch. An inward clearing cheque of ₹7.20 lakh was passed on 12 March 2026 after the officer phoned the customer.

Advances reviewed by the team include the following.

- **Malwa Agro Pvt Ltd** — term loan; quarterly instalment of ₹40 lakh due on 15 December 2025 was not paid before the day-end process of that date and nothing has been received since. Interest of ₹6 lakh for January–March 2026 has not been applied by the branch because "the account is NPA".
- **Rewa Textiles Ltd** — cash credit limit ₹6 crore; renewal was due on 30 June 2025 and was not done by 31 March 2026. The account is operated regularly and the balance is within the drawing power computed from the stock statement dated 15 January 2026. The borrower's audited financial statements were delayed because its auditor resigned; the renewal letter was issued on 18 April 2026. The branch audit report will be signed on 25 April 2026. The sanction stipulates penal interest of 2% p.a. on the average outstanding for any month in which the stock statement is not submitted; statements for October and November 2025 were not submitted (average outstanding ₹5.40 crore) and no penal interest was charged. Rewa's current account had a large credit balance; no interest was credited on it.
- **Sanwer Foods** — new term loan ₹2.50 crore sanctioned in January 2026; processing fee of 0.40% stipulated by the bank's circular was not charged.
- **Export bills purchased** of ₹80 lakh remained overdue for 73 days; overdue interest at 10% p.a. was not recovered. LCs of ₹3 crore were opened for import of rough diamonds from Antwerp; commission at 0.15% for one quarter was not recovered.
- **Ujjain Infra Ltd** — loan guaranteed by the State Government, overdue for 130 days; branch shows it as standard "because it is Government guaranteed". **Dhar Fertilisers Ltd** — loan guaranteed by the Central Government, overdue for 200 days; the bank has not invoked the guarantee; interest of ₹18 lakh for the year has been credited to income.
- **Shajapur Ceramics** — a standard account restructured in February 2026 on account of the borrower's financial difficulty (instalments rescheduled, rate reduced).

1. For Malwa Agro, what is the correct position as per the SMA/NPA dating explained in the SM?
   → (A) Overdue from 16 December 2025; SMA-1 on 15 January 2026; NPA on 16 March 2026.
   → (B) Overdue from 15 December 2025; SMA-1 on 14 January 2026; SMA-2 on 13 February 2026; NPA on 15 March 2026.
   → (C) Only one instalment is unpaid, so the account remains SMA-2 at 31 March 2026.
   → (D) NPA on 15 March 2026, but only the term-loan facility becomes NPA; Malwa's other facilities at the branch remain standard.
2. The audit assistant insists that Rewa Textiles must be NPA because the limit was not renewed within 180 days. The best view is:
   → (A) NPA — non-renewal beyond 180 days is decisive; events after 31 March 2026 are ignored.
   → (B) NPA — and the stock statement of 15 January 2026 is also stale, so DP is irregular.
   → (C) Standard — the renewal before signing reflects the condition at the balance-sheet date (AS 4 adjusting event); account regular, within DP from a statement not older than 3 months.
   → (D) Standard — but only because the borrower's auditor resigned, which is a force majeure event.
3. Consider: (i) Ujjain Infra must be classified as NPA; (ii) Dhar Fertilisers need not be classified as NPA for asset classification while the guarantee is not invoked and repudiated; (iii) the ₹18 lakh interest of Dhar Fertilisers may stay in income because the account is not NPA for classification; (iv) the reason for not invoking the Central Government guarantee should be obtained and reported in the LFAR. Which are correct?
   → (A) (i), (ii) and (iii) only
   → (B) (ii) and (iv) only
   → (C) (i), (ii) and (iv) only
   → (D) (i), (iii) and (iv) only
4. From the facts, the revenue leakage the auditor should quantify for the branch is:
   → (A) ₹4.85 lakh
   → (B) ₹10.85 lakh
   → (C) ₹4.40 lakh
   → (D) ₹3.25 lakh
5. The branch manager makes four statements on Shajapur Ceramics. Which one is NOT consistent with the SM?
   → (A) Receipt of the restructuring application itself signals weakness; the auditor considers whether provision is needed pending approval.
   → (B) On restructuring, the standard account is downgraded to sub-standard.
   → (C) The Board may approve restructuring with retrospective effect from 1 January 2026 so that the account stays standard at the year end.
   → (D) Restructured accounts require additional provision; the auditor checks the list of restructured accounts against RBI guidelines.

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Answers: 1 (B) — SM TYK 15: overdue from the due date itself (not the next day) when unpaid before the day-end process; SMA-1 on completing 30 days, SMA-2 on 60 days, NPA on 90 days (31 Mar → 30 Apr → 30 May → 29 Jun pattern). (A) shifts every date by one day; (D) fails because classification is borrower-wise. 2 (C) — SM TYK 12: limit renewed after year end but before signing, account regular and within DP; AS 4 adjusting event; substance over form. Stock statement of 15 January is not older than 3 months at 31 March, so (B) fails. 3 (C) — State Government guarantee carries no carve-out: NPA if overdue more than 90 days; Central Government guarantee: NPA for classification only when invoked and repudiated, but interest is not income until realised, so (iii) is wrong; long-overdue non-invocation is reasoned and disclosed in LFAR. 4 (A) — penal interest 5.40 cr × 2% × 2/12 = 1.80 lakh; processing fee 2.50 cr × 0.40% = 1.00 lakh; overdue interest 80 lakh × 10% × 73/365 = 1.60 lakh; LC commission 3 cr × 0.15% = 0.45 lakh; total 4.85 lakh (SM TYK 2 areas). Not leakage: interest not applied on NPA Malwa (income only on realisation) → (B) wrongly adds 6 lakh; no interest on current account is normal. 5 (C) — SM: banks cannot restructure accounts with retrospective effect; restructuring downgrades standard to sub-standard, NPAs stay in the same category.

Case 2 — Deccan Union Bank (statutory central audit, FY 2025-26)

Deccan Union Bank, a nationalised bank, appointed five CA firms jointly as statutory central auditors with RBI approval. CA Revathi of Rao Kulkarni & Associates leads the treasury and capital adequacy work. The bank's new mobile app crossed 2 crore downloads, and the CMD's message in the annual report speaks at length about green deposits and a tie-up with a fintech for MSME lending. None of this is in the audit scope letter, which covers the main report, the LFAR and the usual certificates.

Treasury: for two weeks in January 2026, when back-office staff were on leave, one dealer executed trades, confirmed them and posted the accounting entries. BRs of ₹420 crore issued by counterparty banks have been outstanding for seven months. On 10 February 2026, securities of ₹1,500 crore were shifted from AFS to HTM on the approval of the ALCO; Board ratification is "planned for May". Interest on a corporate bond held by the bank has been unpaid since 20 November 2025, yet ₹6 crore interest has been accrued for the year.

Capital: Tier I capital ₹5,600 crore; Tier II ₹1,400 crore. Secured housing loans up to ₹75 lakh each: ₹8,000 crore; secured housing loans above ₹75 lakh: ₹2,000 crore; commercial real estate loans: ₹3,000 crore; NPAs purchased from other banks: ₹500 crore. All other assets, already risk-weighted, come to ₹55,000 crore; risk-adjusted off-balance-sheet items ₹6,000 crore. Assume the housing loans meet the conditions for the SM risk weights.

Sale of NPAs (20 February 2026): Kaveri Exports (NPA since 15 January 2024) ₹48 crore; Godavari Steel (NPA since 30 April 2024) ₹30 crore; Tunga Mills (NPA since 31 March 2023) ₹22 crore; Bhima Auto (NPA since 10 February 2024) ₹15 crore. All are sold without recourse for cash received upfront. Tunga Mills, with an NBV of ₹8 crore, fetched ₹11 crore; the CFO wants ₹3 crore shown as "profit on sale of NPA".

Other: on 29 March 2026 six corporates were given overdrafts of ₹900 crore which were parked as term deposits; the transactions were reversed on 3 April 2026. The CMD wants the LFAR "to go to RBI only after the July Board meeting".

6. Consider: (i) the January dealing arrangement breaches segregation of front, mid and back office; (ii) for BRs outstanding for seven months, counterparty confirmation and a written explanation from management are needed; (iii) the AFS to HTM shift is valid because the ALCO is a competent authority for classification; (iv) the corporate bond is a non-performing investment, so income should not be recognised and depreciation should be provided. Which are correct?
   → (A) (i), (ii) and (iv) only
   → (B) (i), (iii) and (iv) only
   → (C) (ii) and (iii) only
   → (D) All of (i) to (iv)
7. The bank's CRAR and its compliance with the RBI minimum stated in the SM are:
   → (A) 10.00% — compliant
   → (B) 9.40% — compliant
   → (C) 10.94% — compliant
   → (D) 8.00% — not compliant
8. The amount of NPAs that could be sold on 20 February 2026 and the treatment of the ₹3 crore on Tunga Mills are:
   → (A) ₹85 crore; the ₹3 crore excess provision is not reversed but used for shortfall/loss on sale of other NPAs.
   → (B) ₹22 crore; the ₹3 crore is credited to P&L.
   → (C) ₹85 crore; the ₹3 crore is credited to P&L as profit on sale.
   → (D) ₹115 crore; the ₹3 crore excess provision is written back.
9. On the CMD's view about the LFAR, which statement is correct?
   → (A) The SCAs send the LFAR directly to RBI within 60 days of the year end.
   → (B) The LFAR is placed before the ACB with action taken/proposed; a copy with the agenda note and the Board's views/directions goes to RBI within 60 days of submission of the LFAR by the statutory auditors.
   → (C) Branch LFARs go straight to the RBI regional office; only the bank LFAR stays with management.
   → (D) The LFAR is a requirement only for public sector banks, so timing is at the CMD's discretion.
10. For the ₹900 crore overdraft-cum-deposit transactions, the SM directs the auditor to:
   → (A) mention them only in the LFAR, since the main report covers the financial statements as a whole.
   → (B) consider an appropriate qualification in the main audit report, in addition to other applicable reporting.
   → (C) report them as fraud under section 143(12) because they are window dressing.
   → (D) ignore them, as reversal after the year end is a non-adjusting event.

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Answers: 6 (A) — SM: segregation of dealing, settlement/monitoring and accounting; BRs outstanding unduly long need counterparty confirmation and management's written explanation; NPI = interest/principal unpaid more than 90 days (here 131 days) → no income, provide depreciation. (iii) fails: classification at acquisition may be by Board/ALCO/Investment Committee, but shifting from AFS to HTM must be duly approved by the Board. 7 (A) — RWA housing 8,000 × 50% + 2,000 × 75% = 5,500; CRE 3,000 × 100%; purchased NPAs 500 × 100% (SM) → 9,000; + 55,000 + 6,000 = 70,000; CRAR = (5,600 + 1,400) / 70,000 = 10.00% ≥ 9%. (B) weights housing at 100%; (C) omits off-balance-sheet items; (D) uses Tier I alone. 8 (A) — only NPAs that stayed NPA at least 2 years: Kaveri 48 + Tunga 22 + Bhima 15 (2 years done on 10 Feb 2026) = 85; Godavari fails. Price above NBV: excess provision is not reversed, used to meet shortfall on other NPA sales — never profit. 9 (B) — SM para 9.2. 10 (B) — SM deposits procedures: possible window dressing → consider appropriate qualification in the main report besides other reporting; the SM does not label it fraud, so (C) overreaches.

Case 3 — Shreyas group of NBFCs (FY 2025-26)

CA Nikhil is the statutory auditor of Shreyas Capital Ltd, an NBFC-ICC that does not accept public deposits, with total assets of ₹1,640 crore; RBI has not identified it for the Upper Layer. Gold-jewellery loans are 8% of its financial assets. Group entities: Shreyas Home Loans Ltd (HFC, assets ₹780 crore, not identified by RBI), Shreyas Deposits Ltd (accepts public deposits, assets ₹240 crore) and LendLink Pvt Ltd (a P2P lending platform). The promoter spends most of the closing meeting on a planned IPO, ESG ratings and a dispute with a software vendor.

Loan book of Shreyas Capital at 31 March 2026:

- → Nagpur Traders: outstanding ₹6 crore; NPA since 1 January 2025; realisable value of security (valid recourse) ₹4 crore.
- → Quilon Spices: outstanding ₹5 crore; NPA since 1 October 2025.
- → Raipur Castings: ₹1 crore identified as a loss asset by the internal auditor; not written off.
- → Standard assets: ₹1,200 crore.
- → Sahyadri Motors: interest due on 21 December 2025 unpaid till 31 March 2026. Management put the account on its "watch list" and rescheduled the repayments on 25 March 2026; no upgrade conditions were met. Interest of ₹45 lakh for January–March 2026 has been accrued.

Capital data (₹ crore): cash and bank balances incl. FDs 120; approved securities 200; bonds of public sector banks 150; shares and MF units 100; loans to staff 20; loans fully secured against deposits held 30; inter-corporate loans 80; consumer credit (personal loans) 240; other secured loans considered good 600; premises and furniture (net) 40; advance tax (net) 10; risk-adjusted off-balance-sheet items 50. Tier 1 capital 150; Tier 2 capital 36 (subordinated debt 24, general provisions 12).

11. Under scale-based regulation, the layers of Shreyas Capital, Shreyas Home Loans, Shreyas Deposits and LendLink respectively are:
    - → (A) Middle; Base; Base; Base
    - → (B) Middle; Middle; Middle; Base
    - → (C) Upper; Middle; Middle; Middle
    - → (D) Middle; Middle; Base; Base
12. Total provision required in Shreyas Capital for Nagpur Traders, Quilon Spices, Raipur Castings and standard assets is:
    - → (A) ₹9.10 crore
    - → (B) ₹7.30 crore
    - → (C) ₹7.50 crore
    - → (D) ₹5.10 crore
13. On Sahyadri Motors, the correct view is:
    - → (A) Standard — the NPA norm for FY 2025-26 is more than 120 days.
    - → (B) NPA (sub-standard) — overdue more than 90 days by 31 March 2026; watch-listing and rescheduling do not upgrade it; reverse the unrealised ₹45 lakh.
    - → (C) Standard — rescheduled before the year end; interest may be accrued.
    - → (D) NPA — but the ₹45 lakh can be retained as it accrued before rescheduling.
14. Shreyas Capital's capital ratio (Tier I ratio in brackets) and compliance are:
    - → (A) 15.50% (12.50%) — complies
    - → (B) 16.32% (13.16%) — complies
    - → (C) 14.09% (11.36%) — does not comply with the 15% minimum
    - → (D) 16.17% (13.04%) — complies
15. In CA Nikhil's additional report to the Board of Shreyas Capital under the RBI Directions, which statement is NOT required?
    - → (A) Whether the Board has passed a resolution for non-acceptance of public deposits.
    - → (B) Whether the capital adequacy ratio in the NBS-7 return is correctly determined and meets the minimum CRAR.
    - → (C) Whether liquid assets under section 45-IB are maintained and the designated bank's details intimated.
    - → (D) Whether the company is entitled to continue to hold the CoR in terms of the principal business criteria as on 31 March.

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Answers: 11 (B) — non-deposit NBFC with assets ₹1,000 crore and above → Middle; HFC → Middle (never Base, size irrelevant) unless identified Upper; all deposit-taking NBFCs → Middle irrespective of size; P2P → always Base. (D) applies the size test to a deposit-taker. 12 (A) — ML: sub-standard up to 12 months, so Nagpur (NPA 15 months) is doubtful for less than one year: unsecured 2 × 100% + secured 4 × 20% = 2.80; Quilon sub-standard 5 × 10% = 0.50; Raipur loss 100% = 1.00; standard 1,200 × 0.40% = 4.80; total 9.10. (B) uses BL's 0.25%; (C) applies 20% to the whole ₹6 crore; (D) treats Nagpur as sub-standard under BL's 18 months and uses 0.25%. 13 (B) — glide path: more than 90 days by 31 March 2026; 100 days overdue; an asset is not upgraded merely by rescheduling; income on NPA only when realised, unrealised income reversed. 14 (A) — RWA: PSB bonds 150 × 20% = 30; shares/MF 100; ICDs 80; consumer credit 240 × 125% = 300; other secured loans 600; premises/furniture 40; zero-weight: cash/bank, approved securities, staff loans, loans against deposits, advance tax → 1,150 + off-BS 50 = 1,200; ratio 186/1,200 = 15.50% ≥ 15%; Tier 1 150/1,200 = 12.50% ≥ 10% (12% rule only for gold-loan NBFCs with 50% or more). (B) uses 100% for consumer credit; (C) uses 100% for PSB bonds; (D) omits off-BS items. 15 (C) — liquid assets/designated bank (NBS 3) is a Part B item for NBFCs accepting public deposits; (A) and (B) are Part C items for non-deposit NBFCs; (D) is Part A for all NBFCs.

Standalone MCQs

16. Varun Holdings Ltd's last audited balance sheet shows total assets ₹900 crore, including intangible assets ₹40 crore and financial assets ₹440 crore. Gross income ₹120 crore, of which income from financial assets ₹64 crore. The directors say "less than half our assets are financial, so we are not an NBFC". Which is correct?
    - → (A) It is an NBFC: financial assets are 51.2% of total assets net of intangibles and financial income is 53.3% of gross income.
    - → (B) It is not an NBFC: financial assets are 48.9% of total assets.
    - → (C) It is an NBFC because the income test alone is decisive.
    - → (D) It is not an NBFC until RBI notifies it under section 45-I(f)(iii).
17. An Ind AS NBFC has total income ₹4,800 crore and revenue from operations ₹4,650 crore. Items in "other expenses": IT outsourcing ₹47 crore, legal and professional ₹49 crore, rates and taxes ₹30 crore. Which item(s) must be disclosed separately in a note under Division III of Schedule III?
    - → (A) IT outsourcing and legal and professional
    - → (B) Legal and professional only
    - → (C) None, as no item exceeds 1% of revenue from operations plus ₹10 lakh
    - → (D) All three, as NBFCs disclose every item of other expenses
18. In an NBFC: (i) cash shortage of ₹12,000 reported by the cashier on the same day, no fraudulent intent suspected; (ii) shortage of ₹7,500 found by the internal auditor, not reported by the cash handler; (iii) shortage of ₹8,000 reported by the cashier on occurrence, no intent suspected; (iv) shortage of ₹4,800 found by an inspecting officer, not reported by the cash handler. Which must be reported as fraud?
    - → (A) (i) and (ii) only
    - → (B) (i), (ii) and (iii) only
    - → (C) (ii) and (iv) only
    - → (D) (i) only
19. Mehta Rao & Co. has been external concurrent auditor of Konkan Bank continuously since FY 2021-22, posted at its Pune treasury branch since FY 2023-24. For FY 2026-27 the branch head wants to retain the firm at Pune because "the ACB has not objected". As per the SM:
    - → (A) The firm may continue at Pune for two more years, as the bank-level limit is 7 years.
    - → (B) The firm normally cannot continue as the bank's external concurrent auditor after 5 continuous years, and in any case cannot stay at the Pune branch beyond 3 years.
    - → (C) The firm may continue at Pune if RBI and ICAI are informed.
    - → (D) Tenure limits apply only to the bank's own officers doing concurrent audit.

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Answers: 16 (A) — principal business test uses total assets **netted off by intangible assets**: 440/860 = 51.2% > 50%; 64/120 = 53.3% > 50%; both tests met (SM Singh Ltd TYU). (B) forgets to deduct intangibles; (C) — both tests are needed. 17 (B) — Division III: separate note for any item exceeding 1% of **total income** = ₹48 crore → only ₹49 crore item. (A) applies the Division II test (1% of revenue from operations ₹46.5 crore or ₹10 lakh, whichever higher). 18 (A) — even without suspected intent: shortage above ₹10,000 (i); above ₹5,000 detected by management/auditor/inspector and not reported on occurrence (ii). (iii) is below ₹10,000 and was reported; (iv) is not above ₹5,000. 19 (B) — ACB fixes the maximum tenure; normally not more than 5 continuous years with the bank and not more than 3 years with a branch/business unit; by FY 2026-27 the firm will have completed 5 years (2021-22 to 2025-26) and 3 years at Pune. (C) mixes up the rule on informing RBI and ICAI, which applies when appointments are terminated for serious lapses.

64 MCQ practice — Quality Control and General Auditing Principles

App-written practice questions based on ICAI SM — not ICAI questions.

Case Scenario 1 — Kothari Mehta & Associates (5 MCQs · ~25 min)

Kothari Mehta & Associates (KMA), a 14-partner firm in Pune, audits Sarthak Polymers Ltd., a company listed on BSE and NSE with turnover of ₹2,340 crore in FY 2025-26. Sarthak is a subsidiary of Vasundhara Industries Ltd., whose consolidated financial statements are audited by another firm. CA Prakash Kothari has been the engagement partner on Sarthak since FY 2017-18; the managing partner says rotation "can wait" because Sarthak contributes 11% of firm fees and the client has asked for continuity during its planned QIP.

The firm appointed CA Ritu Deshmukh, a partner who heads the firm's GST practice, as engagement quality control reviewer (EQCR). During March 2026 the team struggled with the impairment of the Dahej plant (carrying amount ₹410 crore). CA Ritu attended two team meetings, chose the 11.5% discount rate and told the team to use her cash-flow model. CA Prakash says this was only "consultation".

The auditor's report on Sarthak was signed and dated 22 May 2026. CA Ritu completed her review on 21 May 2026 and documented it. Vasundhara's group auditor signed the consolidated report on 10 June 2026. KMA's audit file for Sarthak was finally assembled on 30 July 2026 because two managers resigned in June. The firm's office manager has proposed that, to save storage cost in the new office, files of all audits be destroyed five years after the year end.

The firm's HR policy, approved this year, gives partners 70% of their variable pay on new-client billing. The firm obtains written independence declarations from staff once every two years. During the firm's internal inspection, the monitoring partner noticed that the team's CARO report described statutory dues payment as "generally regular" without quantifying delays.

1. The file for Sarthak was assembled on 30 July 2026. Which statement is correct as per SQC 1?
   - → (A) Compliant, because the 60 days run from the date of the group auditor's report (10 June 2026).
   - → (B) Not compliant; assembly should have been completed not more than 60 days after the date of the auditor's report, i.e. by 21 July 2026.
   - → (C) Compliant, because resignation of managers is an exceptional circumstance that extends the limit appropriate to the engagement.
   - → (D) Not compliant; the file should have been complete before the auditor's report was dated.
2. Regarding CA Ritu's role in the impairment issue, which is the most appropriate conclusion?
   - → (A) Acceptable: the engagement partner may consult the EQCR during the engagement, so choosing the discount rate is part of consultation.
   - → (B) Acceptable, because she documented her review before the report date.
   - → (C) Her objectivity is impaired as she made decisions for the team; the firm's policies should provide for her replacement by another individual within the firm or a suitably qualified external person.
   - → (D) Her objectivity is impaired; the matter must be referred to NFRA before the report is issued.
3. The office manager wants to destroy files five years after year end. Under SQC 1, the Sarthak FY 2025-26 audit documentation should ordinarily be retained at least until:
   - → (A) 31 March 2033
   - → (B) 22 May 2033
   - → (C) 10 June 2033
   - → (D) 30 July 2033
4. Consider the following statements about KMA: (i) The variable-pay policy raises an issue under the element "Leadership responsibilities for quality within the firm". (ii) Independence declarations every two years satisfy SQC 1, since SQC 1 only requires periodic confirmation. (iii) CA Prakash should normally have been rotated, as the pre-defined period for listed audits is normally not more than seven years. (iv) The "generally regular" CARO wording means the audit did not meet the SA 220 objective that the audit complies with regulatory and legal requirements. Which are correct?
   - → (A) (i), (iii) and (iv) only
   - → (B) (i), (ii) and (iii) only
   - → (C) (iii) and (iv) only
   - → (D) (i), (ii), (iii) and (iv)
5. Sarthak is listed. Which of the following is NOT among the matters an EQCR "considers" for a listed audit as per SQC 1?
   - → (A) The significance and disposition of corrected and uncorrected misstatements identified during the engagement.
   - → (B) The matters to be communicated to management, TCWG and, where applicable, regulatory bodies.
   - → (C) Whether the audit fee is adequate to cover the hours planned for significant risks.
   - → (D) Judgments made, particularly with respect to materiality and significant risks.

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Answers: 1 (B) — SQC 1: audit files completed in not more than 60 days after the date of the auditor's report (22 May + 60 days = 21 July 2026). (A) mixes in the retention rule (where the group report date matters); (D) is Ramanujan's error — assembly happens after the report. 2 (C) — SQC 1: EQCR must not participate or make decisions for the team; where consultation becomes significant and objectivity cannot be kept, another individual or suitably qualified external person takes the role; policies provide for replacement. (A) is the trap: consultation is allowed, decision-making is not. 3 (C) — retention ordinarily no shorter than seven years from the date of the auditor's report or, **if later**, the group auditor's report (10 June 2026 → 10 June 2033). (B) ignores the "if later" limb; (D) uses the assembly date. 4 (A) — (i) incentive systems are consideration (b) under leadership; (ii) wrong: written confirmation at least annually; (iii) rotation normally not more than seven years (Prakash is in his ninth year); (iv) SM TYK 5. 5 (C) — the SQC 1 list has eight items (independence, significant risks, materiality judgments, consultation, misstatements, matters to communicate, working papers, appropriateness of report); fee adequacy is not one.

Case Scenario 2 — Vardhaman Agro Foods Ltd. (5 MCQs · ~25 min)

Vardhaman Agro Foods Ltd. (VAFL), listed on NSE, processes spices and dry fruits at plants in Unjha (Gujarat) and Pampore (J&K). CA Ishita Rao of IR & Co. is the statutory auditor for FY 2025-26. VAFL's board has a CMD, two whole-time directors and four independent directors; the audit committee is chaired by an independent director.

VAFL announced in an investor call in July 2025 that EBITDA would cross ₹180 crore, against ₹122 crore last year. The CFO's bonus is 40% of salary if this target is met. A term loan of ₹300 crore from a consortium carries a covenant of debt/EBITDA below 2.5 times. Revenue rose 31% while the industry grew 8%. Saffron stocks (small packs, ₹2.6 lakh per kg) are kept in a Pampore cold store where the same supervisor receives, issues and counts stock and has not taken leave for three years.

Ishita's team found 46 manual journal entries posted on 30 and 31 March 2026 from the CFO's login, reclassifying ₹38 crore of discounts as "marketing expenses" and booking ₹22 crore of "bill and hold" sales where goods were still in VAFL's warehouse. The CFO says these are "routine year-end entries". The team also noted that management's provision for slow-moving stock dropped from 6% to 1% of inventory without a stated reason.

The FSSAI licence of the Unjha plant lapsed for four months during the year and production continued. The State Pollution Control Board issued a show-cause notice in February 2026; management declined to show the team the correspondence, saying "environment is not your concern as financial auditor". The CMD told Ishita she should "keep the discussion with the CFO only".

1. Which of the following facts is, as per the SM, an **opportunity** risk factor relating to fraudulent financial reporting (not an incentive/pressure or attitude)?
   - → (A) The CFO's bonus contingent on achieving the EBITDA target.
   - → (B) The slow-moving stock provision, an estimate involving subjective judgment that is difficult to corroborate.
   - → (C) The public EBITDA announcement in the investor call.
   - → (D) The debt/EBITDA covenant on the consortium loan.
2. For the lapsed FSSAI licence, what is the auditor's responsibility under SA 250?
   - → (A) Obtain sufficient appropriate audit evidence about compliance, since food-safety laws determine reported amounts.
   - → (B) It is limited to specified audit procedures — inquiry of management and, where appropriate, TCWG, and inspection of correspondence with the licensing authority — to identify non-compliance that may have a material effect.
   - → (C) None, as SA 250 does not apply to operating licences.
   - → (D) Report the lapse directly to FSSAI, as the auditor's duty of confidentiality never applies to regulatory breaches.
3. Ishita suspects the CFO is involved in fraud. Considering the CMD's instruction, what does SA 240 require?
   - → (A) Communicate only to the CFO's superior, the CMD, as the appropriate level of management.
   - → (B) Communicate the suspicions to those charged with governance and discuss with them the nature, timing and extent of audit procedures necessary to complete the audit.
   - → (C) Withdraw immediately, as suspected management fraud always makes it impossible to continue.
   - → (D) Communicate to TCWG only after confirming that the misstatement is material.
4. Which of the following is NOT a procedure SA 240 requires **irrespective of** the auditor's assessment of the risk of management override?
   - → (A) Testing the appropriateness of journal entries recorded in the general ledger and other adjustments.
   - → (B) Reviewing accounting estimates for biases.
   - → (C) Evaluating the business rationale of significant transactions outside the normal course of business.
   - → (D) Physical verification of all inventory held at third-party cold stores at the year end.
5. Management does not let the team see the Pollution Control Board correspondence. If the possible non-compliance may be material, the auditor shall, as per SA 250:
   - → (A) Express an adverse opinion, since non-compliance is presumed.
   - → (B) Express a qualified opinion or disclaim an opinion on the basis of a limitation on scope imposed by management, in accordance with SA 705.
   - → (C) Include an Emphasis of Matter paragraph, as the outcome depends on a future decision of the Board.
   - → (D) Evaluate the effect on the opinion, as this is a limitation imposed by circumstances.

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Answers: 1 (B) — "assets, liabilities, revenues or expenses based on significant estimates that involve subjective judgments or uncertainties that are difficult to corroborate" is listed under Opportunities. (A) is personal-finance incentive; (C) is third-party expectation pressure created by management; (D) is marginal ability to meet debt covenants — all pressures. 2 (B) — licence compliance is an "other law" fundamental to operations; responsibility is limited to the two specified procedures. (A) is the category (a) duty; (C) wrong — SA 250 covers both categories. 3 (B) — SA 240: if the auditor suspects fraud involving management, communicate suspicions to TCWG and discuss NTE; the audit committee of independent directors exists, so not all TCWG manage the entity. (D) wrong: suspicions of fraud involving management are communicated to TCWG with no materiality pre-condition, on a timely basis. (C) — withdrawal is only for exceptional circumstances and where legally permitted. 4 (D) — the three mandatory override procedures are JEs, bias in estimates, business rationale of unusual significant transactions; (D) may be a response to misappropriation risk at Pampore but is not in this list. 5 (B) — precluded by management or TCWG → qualified or disclaimer (scope limitation, SA 705). (D) is the rule when circumstances, not management, impose the limitation; (A) applies when non-compliance is concluded, material and not reflected.

Case Scenario 3 — Meghdoot Logistics Ltd. (5 MCQs · ~25 min)

Meghdoot Logistics Ltd. (MLL), an unlisted public company with 62 warehouses, appointed PK & Co. and SV & Associates as joint auditors for FY 2025-26 under a members' resolution. In the planning meeting on 12 April 2026 the partners agreed orally that PK & Co. would audit the North and West zones and payroll, SV & Associates the South and East zones and fixed assets, and that IT general controls would be a common area. They jointly decided that controls over the warehouse management system interface would be tested on a sample of 60 days; SV & Associates' team carried out these tests but tested only 15 days. A signed work allocation document was prepared on 5 June 2026, after fieldwork, and was not sent to the audit committee.

MLL outsources payroll for 9,800 employees to Paysure HR Services Pvt. Ltd.; payroll is 58% of MLL's total costs. MLL authorises attendance and pay changes; Paysure processes them, computes statutory deductions and sends journal entries to MLL. Paysure's service auditor, a firm of chartered accountants, has issued a Type 1 report as at 31 December 2025. PK & Co.'s risk assessment expects Paysure's controls to be operating effectively for the whole year. At the final stage, SV & Associates concluded that obsolete fixed assets worth ₹26 crore needed impairment and proposed a qualified opinion; PK & Co. accepted management's view that no impairment was needed. PK & Co.'s article assistant prepared a draft unmodified report that said "we have relied on the Type 1 report of Paysure's service auditor".

1. PK & Co. wants evidence that Paysure's controls operated effectively during FY 2025-26. Which procedure would NOT, by itself, provide such evidence as per SA 402?
   - → (A) Obtaining a Type 2 report, if available.
   - → (B) Performing appropriate tests of controls at Paysure.
   - → (C) Using another auditor to perform tests of controls at Paysure on PK & Co.'s behalf.
   - → (D) Using the Type 1 report as at 31 December 2025 together with inquiry of MLL's HR head.
2. Paysure's service auditor is a member of ICAI. In determining the sufficiency and appropriateness of evidence from its report, PK & Co. shall be satisfied as to:
   - → (A) The service auditor's professional competence and independence from Paysure, and the adequacy of the standards.
   - → (B) The service auditor's independence from Paysure and the adequacy of the standards under which the report was issued.
   - → (C) Only the adequacy of the standards, as ICAI membership covers competence and independence.
   - → (D) Only the service auditor's independence from MLL.
3. Who is responsible for the shortfall in the WMS interface testing (15 days instead of the agreed 60)?
   - → (A) Both firms jointly and severally, because IT general controls were a common area.
   - → (B) SV & Associates, because proper execution of the procedures is the individual responsibility of the joint auditor concerned; both firms are responsible only for the appropriateness of the jointly agreed NTE.
   - → (C) PK & Co., as the firm that proposed the sample size.
   - → (D) Neither firm, since each joint auditor may assume the other has performed its work in accordance with SAs.
4. On the impairment disagreement, which is correct as per SA 299?
   - → (A) SV & Associates must follow the common report, since only two joint auditors exist and the entity's view prevails in a tie.
   - → (B) SV & Associates expresses its opinion in a separate report; each report refers to the other under an Emphasis of Matter paragraph as per SA 706.
   - → (C) SV & Associates expresses its opinion in a separate report; each report refers to the other under the heading "Other Matter Paragraph" as per SA 706.
   - → (D) The disagreement is reported to the audit committee and the committee's view is adopted in a common report.
5. Consider: (i) the nature, timing and extent of procedures for common and allotted areas were agreed only orally at planning; (ii) the signed work allocation document was not communicated to TCWG; (iii) the draft report refers to the service auditor; (iv) the joint auditors should have obtained a common management representation letter. Which describe a departure from the SM requirements or a requirement to be met?
   - → (A) (ii) and (iii) only
   - → (B) (i), (ii) and (iii) only
   - → (C) (i), (ii), (iii) and (iv)
   - → (D) (iii) and (iv) only

ICAI ·

Answers: 1 (D) — tests of controls evidence comes from (a) Type 2 report, (b) tests at the SO, (c) another auditor. A Type 1 report gives an opinion only on description and design as at a date; inquiry does not add operating-effectiveness evidence. 2 (B) — SM: competence is required "except where the service auditor is a member of ICAI"; independence from the service organisation and adequacy of standards remain. (A) ignores the exception; (D) names the wrong entity. 3 (B) — SA 299: for common-area planning decisions all are responsible only for appropriateness of agreed NTE; execution is individual (SM TYK 5). (D) — the assumption protects PK & Co. from reviewing SV's work, it does not remove SV's responsibility. 4 (C) — separate report on disagreement; not bound by majority; cross-reference under "Other Matter Paragraph" (SA 706). (B) is the EOM trap. 5 (C) — joint auditors shall discuss and document the NTE of procedures for common and allotted areas (and communicate it to TCWG); the signed document must be communicated to TCWG; no reference to the service auditor in an unmodified report unless law requires it; common engagement letter and common MRL are required.

Standalone MCQs (4 · ~12 min)

1. CA Leena audits Orchid Pharma Ltd., a listed company. She discussed significant findings orally with the audit committee, considering oral communication adequate, and sent no written communication of any kind. Which statement is correct under SA 260?
   - → (A) Correct, since all communications may be oral if documented with date and recipient.
   - → (B) Incorrect; all significant findings must always be communicated in writing.
   - → (C) Incorrect; though significant findings may be oral where adequate, communication regarding auditor independence must be in writing for listed entities.
   - → (D) Incorrect; the planned scope and timing must always be communicated in writing.
2. In SA 220, the engagement-level matter that corresponds to the SQC 1 element "Human resources" is:
   - → (A) Leadership responsibilities for quality on audits
   - → (B) Assignment of engagement teams
   - → (C) Engagement performance
   - → (D) Acceptance and continuance of client relationships and audit engagements
3. The quality of the statutory audit of Neelgiri Insurance Co. Ltd. (an insurance company) for FY 2025-26 is to be examined. As per the SM:
   - → (A) QRB reviews it, as QRB is set up by the Central Government for all audit quality reviews.
   - → (B) It falls under NFRA, which may oversee quality of service under section 132(2) and investigate under section 132(4) auditors of insurance companies; QRB covers entities other than those under Rule 3 of NFRA Rules, 2018 and those referred by NFRA.
   - → (C) The Peer Review Board issues a peer review certificate for the engagement.
   - → (D) NFRA reviews it under section 132(1), which lists its investigation powers.
4. During the audit of Bhavya Textiles Ltd., the auditor finds that the purchase manager has diverted ₹1.4 crore through fictitious vendors, and separately that a cashier misappropriated ₹6 lakh. Management and TCWG are different persons. Which is correct as per the SM?
   - → (A) Both are misappropriation of assets; since neither involves management, no communication to TCWG is required.
   - → (B) The ₹1.4 crore case is reportable under section 143(12) to the Central Government as a fraud above ₹1 crore; the auditor also communicates frauds on a timely basis to the appropriate level of management.
   - → (C) Both are fraudulent financial reporting as false vendor records were created.
   - → (D) The auditor must first obtain a legal determination that fraud has occurred before communicating anything.

ICAI ·

Answers: 1 (C) — SA 260: significant findings in writing if oral would not be adequate; independence communication in writing when required for listed entities. (B) overstates; (D) has no such rule. 2 (B) — SA 220 replaces HR with assignment of engagement teams (team and auditor's experts collectively competent). 3 (B) — section 132(1) constitutes NFRA; 132(2) monitoring/oversight; 132(4) investigation of listed, insurance, banking and other Rule 3 companies. (D) misplaces the sub-section. 4 (B) — payments to fictitious vendors = misappropriation (SM example); SM TYK 14 answer: frauds above ₹1 crore reported under section 143(12) to Central Government; SA 240 requires timely communication to appropriate management. (D) wrong: the auditor does not make legal determinations and does not wait for one. (A) — communication to management is still required; TCWG communication depends on whether employees with significant roles in internal control are involved or the fraud results in a material misstatement.

App-written

63 MCQ case scenarios — Audit Evidence, Planning, Risk & Internal Control

App-written practice questions based on ICAI SM — not ICAI questions.

Case Scenario 1 — Vardhaman Polymers Ltd. (SA 500, 501, 505)

Vardhaman Polymers Ltd. makes PVC pipes and fittings at Silvassa and Hosur and sells through about 1,800 small dealers and 14 large infrastructure contractors. FY 2025-26 turnover was ₹640 crore. During the year the company shifted its ERP to a cloud version, obtained a ₹75 crore term loan from a public sector bank for a third line at Hosur, and its promoter-director Mr. Kunal Vardhaman was elected president of the regional plastics manufacturers' association. The GST department has completed an audit of FY 2023-24 with no demand. CA Ritika Menon, engagement partner of Menon & Iyer, Chartered Accountants, is the statutory auditor for the second year.

For trade receivables, the team sent requests to the 14 contractors asking each to reply directly to the auditor stating whether it agreed or disagreed with the balance. For the dealers, each with balances between ₹20,000 and ₹1,50,000, requests asked them to reply only if they disagreed. The team had tested credit and dispatch controls and found them effective; dealers' balances are routine and past years showed hardly any disputes.

Of the contractors, Deccan Infra Projects replied that it owed ₹38.20 lakh against ₹42.00 lakh in the books. The reply of Konkan Buildcon arrived as an e-mail forwarded by the company's sales head, Mr. Rakesh Nair, with the contractor's signed PDF attached. Two contractors did not reply. For trade payables, the CFO refused to let the team send a request to Shreeji Resins, whose credit balance of ₹1.85 crore had not moved for ten months, saying that the supplier is in a quality dispute and "a letter from the auditor will be used by them as an admission of liability".

Year-end inventory of ₹96 crore is counted on 31 March 2026. The team member assigned to the Hosur count could not reach the plant because all flights and roads into the area were shut for six days after unseasonal floods; Hosur stock is ₹41 crore. Pipes worth ₹6 crore were lying with a job worker at Pune for printing and packing. Inventory quantities of resin in silos were certified by the company's own production manager, who is a chemical engineer and whose annual bonus depends on yield ratios.

App-written

1. Regarding the Deccan Infra Projects response, the auditor shall:
   - → (A) treat ₹3.80 lakh as a factual misstatement and project it over the contractors' population
   - → (B) investigate the exception to determine whether it is indicative of misstatement
   - → (C) perform alternative audit procedures as for a non-response
   - → (D) obtain a written representation from management that the book balance is correct
2. The Konkan Buildcon response is best dealt with by:
   - → (A) accepting it, since the PDF bears the contractor's signature and stamp
   - → (B) treating it as a non-response and performing alternative procedures only
   - → (C) obtaining further audit evidence to resolve the doubt on reliability, and if found unreliable, evaluating implications on the assessed risks including the risk of fraud
   - → (D) communicating immediately with those charged with governance and modifying the opinion
3. For the dealers, the auditor wants to use the requests as the sole substantive procedure. Consider: (i) RMM assessed low and relevant controls effective; (ii) a large number of small, homogeneous balances; (iii) an exception rate of up to 10% is acceptable because the amounts are small; (iv) the auditor is not aware of circumstances that would cause recipients to disregard such requests. Which of these are conditions under SA 505?
   - → (A) (i), (ii), (iii) and (iv)
   - → (B) (i), (ii) and (iv) only
   - → (C) (ii) and (iii) only
   - → (D) (i) and (iv) only
4. The first step for CA Ritika on the CFO's refusal regarding Shreeji Resins is to:
   - → (A) perform alternative procedures such as checking subsequent payments and GRNs
   - → (B) communicate with those charged with governance, since the refusal is unreasonable
   - → (C) inquire about management's reasons and seek audit evidence as to their validity and reasonableness
   - → (D) report the matter as a key audit matter
5. For the Hosur stock the auditor should:
   - → (A) treat attendance as impracticable and rely on inspection of subsequent sales documents
   - → (B) make or observe some physical counts on an alternative date and perform audit procedures on intervening transactions
   - → (C) express a qualified opinion for scope limitation, as ₹41 crore is material
   - → (D) accept the company's count sheets since the Silvassa count found no differences

ICAI ·

Answers: 1 (B) — SA 505 (SM Ch 5): auditor shall investigate exceptions to see whether they indicate misstatement; the difference may be timing or a dispute. (A) is the trap: a misstatement is decided only after investigation, and projection belongs to sampling (SA 530). 2 (C) — a response received indirectly (through the sales head) raises doubt on reliability; SA 505: obtain further evidence, and if unreliable evaluate implications on RMM incl. fraud (SM TYU 5 answer). (A) ignores that a signature can be inserted; (B) is wrong because a response was received. 3 (B) — the SM condition is a **very low** exception rate; (iii) contradicts it. 4 (C) — SA 505 first step (SM integrated case MCQ 3 key (d)); (A) is the third step; (B) applies only after concluding the refusal is unreasonable. 5 (B) — inability due to unforeseen circumstances (floods) is not impracticability (SM TYU 2); (A) is for impracticable attendance; (C) is premature.

Case Scenario 1 (continued) — same facts

App-written

6. Which of the following is NOT correct as per the SM?

→ (A) The production manager is a management's expert; the auditor shall, to the extent necessary, evaluate his competence, capabilities and objectivity, understand his work and evaluate its appropriateness as audit evidence

→ (B) Because he is an employee whose bonus depends on yields, his objectivity threat is always present and he cannot ordinarily be regarded as more objective than other employees

→ (C) Since the production manager is a qualified chemical engineer, SA 620 requires the auditor to enter into a written agreement with him on the nature, scope and objectives of his work

→ (D) For the job-worker stock, if the auditor has doubts about the job worker's integrity, he may attend the job worker's count or obtain another auditor's report on its controls, instead of or in addition to confirmation

ICAI ·

Answer: 6 (C) — the agreement under SA 620 is with an **auditor's** expert; a management's expert is dealt with in SA 500 (SM Ch 3 scope of SA 620; Ch 5 TYU 1 and 5 answers). (B) is SM wording; (D) is SA 501 third-party custody (TYU 4).

Case Scenario 2 — Sahyadri Agro Foods Ltd. (SA 610, 620, 540)

Sahyadri Agro Foods Ltd., a listed company, processes mango pulp, frozen vegetables and ready-to-eat curries at Nashik and Ratnagiri and exports 55% of output to the UK and the Gulf. FY 2025-26 revenue was ₹1,120 crore. A fire at the Ratnagiri cold store in August 2025 destroyed stock of ₹18 crore, and the insurance claim was settled at ₹15.4 crore in February 2026. The board approved a scheme to give a two-year replacement warranty on industrial blast freezers which the company started selling to small food processors in FY 2024-25; claims experience is short and the product design was modified twice.

CA Nandini Kulkarni is the statutory auditor. The company has an internal audit function of 11 qualified staff headed by a Chief Internal Auditor who reports functionally to the Audit Committee, follows a documented methodology and has its work peer-reviewed. Nandini plans to use the function's work on: (i) observation of inventory counts at Nashik; (ii) tracing export sales through the ERP to shipping bills; (iii) testing operating effectiveness of purchase-approval controls; (iv) the evaluation of management's assessment of the warranty provision. She also wants Mr. Shirish Pawar, an internal auditor, to provide direct assistance by performing test counts at the Ratnagiri stores, where his brother is the stores in-charge.

For the fair value of a 40-acre land parcel classified as held for sale, Nandini engaged Mr. Aditya Rao, a registered valuer she had never worked with. He is not part of her firm. No written terms were agreed. His report uses a 9% annual price growth assumption whereas management's own valuer used 4%; Mr. Rao's report does not explain the difference. The warranty provision of ₹22 crore is identified as a significant risk. Management has refused to give the actual claims of FY 2024-25 against last year's provision, saying "last year's estimate was audited and closed; this year's auditor cannot reopen it".

App-written

1. From items (i) to (iv), the work of the internal audit function that may be used by Nandini (subject to her evaluation) is:
   - → (A) (i), (ii), (iii) and (iv)
   - → (B) (i), (ii) and (iii) only
   - → (C) (ii) and (iv) only
   - → (D) (i) and (iii) only
2. Regarding direct assistance by Mr. Shirish Pawar at Ratnagiri, the correct view is:
   - → (A) he may be used since the function as a whole supports objectivity and he will be supervised by Nandini
   - → (B) family relationship with the person responsible for the area to which the work relates is a threat to objectivity; if significant, Nandini shall not use him for that work
   - → (C) direct assistance is prohibited for inventory work under SA 610 in all cases
   - → (D) he may be used if management gives a written representation about his independence
3. Which of the following is NOT a factor suggesting more extensive procedures on Mr. Rao's work?
   - → (A) Nandini has not previously used his work and has no prior knowledge of his competence
   - → (B) He is an external expert not subject to the firm's quality control policies
   - → (C) He is consulted to provide advice on an individual matter rather than performing procedures integral to the audit
   - → (D) The fair value involves subjective and complex judgments on a significant matter
4. On the 9% vs 4% growth assumption, Nandini's evaluation under SA 620 should include whether Mr. Rao's assumptions are:
   - → (A) identical to management's, failing which his report must be rejected
   - → (B) generally accepted in his field, consistent with the FRF, dependent on specialised models, and consistent with management's — and if not, the reason for and effects of the differences
   - → (C) approved by the Audit Committee before use
   - → (D) supported by a written representation from management
5. Management's refusal on prior-year warranty claims is:
   - → (A) correct, as SA 540 does not permit revisiting estimates of audited periods
   - → (B) correct only if the prior-year auditor was a different firm
   - → (C) not correct; the auditor shall review the outcome of prior period estimates (or re-estimation), though the review is not intended to question judgments made on information then available
   - → (D) not correct; the auditor must restate last year's provision if actual claims differ

ICAI ·

Answers: 1 (B) — SA 610 list (SM Ch 3): inventory observation, tracing transactions, testing controls are usable; evaluating a significant-risk estimate involves significant judgment, which the external auditor makes (May 2026 MCQ pattern — going concern evaluation is the auditor's). 2 (B) — SM factors on objectivity include family and personal relationships with an individual responsible for the aspect; significant threats → shall not use for direct assistance. (A) ignores individual threats; (C) is false — only where law/regulation prohibits. 3 (C) — SM lists "performing procedures integral to the audit, **rather than** being consulted on an individual matter" as the factor; (C) reverses it. 4 (B) — SM factors for assumptions and methods; (A) is the trap — differences need explanation, not automatic rejection. 5 (C) — SA 540 (SM Ch 3; TYK 7). (D) is wrong: a difference between outcome and estimate is not necessarily a misstatement.

App-written

Case Scenario 3 — Kaveri Home Textiles Pvt. Ltd. (Ch 4 IC, risk, SA 265; SA 550)

Kaveri Home Textiles Pvt. Ltd., Karur, makes bed linen and towels; 70% of sales go to two retail chains in Australia. FY 2025-26 revenue was ₹410 crore. During the year the company replaced its old accounting package with an ERP, opened a liaison office at Melbourne, recruited a new CFO and five accountants after the old team left, and adopted an amended accounting standard on revenue recognition for bill-and-hold sales. Cotton prices rose 18% and the company hedged half its yarn needs.

The ERP rejects a purchase invoice if the GSTIN format is invalid and flags missing invoice numbers in the sales series; a weekly exception report is followed up by the accounts executive. Only the IT head can change programs, and user access to the vendor master is restricted. Every month each product head explains the variance between budgeted and actual sales and gross margin to the managing director, and records the corrective action. Mr. Suresh Gounder, the purchase head and the promoter's brother-in-law, has for nine years placed orders, certified receipt of yarn and approved payments; nobody questions him. The storekeeper has not taken leave for four years.

CA Pranav, the statutory auditor, assessed that the nature of the business makes 50% of export invoices susceptible to cut-off errors; management says its controls would prevent 70% of such errors; Pranav's planned procedures give him 80% assurance of detecting the remaining errors. He has identified that bank reconciliations were not prepared for five months after the ERP change and that the Melbourne office's petty cash had no custodian. He has also learnt that a yarn supplier, Gounder Spinners, from which purchases of ₹38 crore were made, is owned by Mr. Suresh Gounder's wife; the company had not listed it as a related party.

App-written

1. The ERP's rejection of invalid GSTIN formats and flagging of missing invoice numbers, with manual follow-up of the exception report, are best described as:
   - → (A) general IT controls
   - → (B) monitoring of controls
   - → (C) control activities — information processing (application controls)
   - → (D) physical controls
2. The monthly review of budget vs actual sales and margins by product heads with corrective action belongs to:
   - → (A) monitoring of controls, being a review by management
   - → (B) control activities — performance reviews
   - → (C) control environment — management's philosophy and operating style
   - → (D) entity's risk assessment process
3. On Pranav's figures, the risk of material misstatement and audit risk for export cut-off are:
   - → (A) 15% and 3%
   - → (B) 35% and 7%
   - → (C) 15% and 12%
   - → (D) 20% and 4%
4. Which of the following is correct about communicating the bank reconciliation and petty cash deficiencies, if Pranav judges them significant?
   - → (A) Communicate orally to the CFO; written communication is needed only for material weaknesses that caused a misstatement
   - → (B) Communicate in writing to those charged with governance on a timely basis, explaining that the audit was not designed to express an opinion on the effectiveness of internal control; also communicate in writing to management unless inappropriate
   - → (C) Include an opinion on the operating effectiveness of internal control in the communication so that TCWG can rely on it
   - → (D) No communication is needed because significant deficiencies can exist only where misstatements have actually been found
5. On Gounder Spinners, which is the most appropriate set of steps under SA 550?
   - → (A) Accept management's list of related parties since the company is private and the transactions are at market price
   - → (B) Determine whether the circumstances confirm the relationship; communicate promptly to the team; request management to identify all transactions with it; inquire why controls failed; perform substantive procedures; reconsider other undisclosed related parties; if non-disclosure appears intentional, evaluate implications (SA 240)
   - → (C) Issue an adverse opinion immediately, since the related party was not disclosed
   - → (D) Send a negative confirmation to Gounder Spinners and conclude if no reply is received

App-written

ICAI ·

Answers: 1 (C) — SM: edit checks of input data, numerical sequence checks and manual follow-up of exception reports are application controls under information processing; program change and access restriction (also in the story) are general IT controls — the ask is only about the rejection and flagging (Sep 2025 MCQ pattern). 2 (B) — SM TYU 4: budget vs actual with corrective action = performance reviews; monitoring reviews whether controls operate. 3 (A) — IR 50%, CR 30% → RMM 15%; DR 20% → AR 3% (SM TYK 7 method). (C) uses DR 80%. 4 (B) — SA 265 (SM Ch 4); (D) is wrong as significance depends on likelihood and potential magnitude (TYU 5 answer); (C) is the trap. 5 (B) — SA 550 previously undisclosed RP (SM Case Study 2 answer 3); (A) ignores the duty; (C) is premature.

Standalone MCQs

1. Materiality for Ujjwal Ceramics Ltd. was set at ₹1.20 crore (1% of revenue estimated at ₹120 crore from 10 months' data). Actual revenue is ₹80 crore and the auditor reassesses materiality at ₹0.80 crore. Uncorrected misstatements total ₹0.95 crore; none individually exceeds ₹0.40 crore. The correct course is:
   - → (A) evaluate against ₹1.20 crore as materiality is fixed at planning; no further action
   - → (B) reassess materiality before evaluating; as the aggregate exceeds the revised amount, uncorrected misstatements are material in aggregate; determine whether performance materiality and NTE of procedures remain appropriate, communicate to TCWG and request correction
   - → (C) treat the misstatements as immaterial because none individually exceeds ₹0.80 crore
   - → (D) treat all misstatements below ₹0.40 crore as clearly trivial and drop them from accumulation
2. CA Lata is planning the audit of Pinnacle Logistics Ltd. Which of the following is a matter for the **audit plan** rather than the overall audit strategy?
   - → (A) The number of team members to be assigned to observe inventory counts at material locations
   - → (B) Whether an engagement quality control review is to be completed
   - → (C) The nature, timing and extent of further audit procedures at the assertion level, including sample sizes
   - → (D) The entity's timetable for reporting and communication with component auditors
3. Rohan & Co., principal auditor of Delta Ltd., uses the work of branch auditors appointed under the Companies Act for 120 branches. One branch auditor is from a foreign country where non-professionals may audit. Which statement is correct as per SA 600 in the SM?
   - → (A) Rohan & Co. is responsible for all errors in branch accounts in all circumstances
   - → (B) The report should expressly state the reliance on the branch auditors; Rohan & Co. should consider the professional competence of the auditor who is not an ICAI member; it is not responsible for their work except in circumstances that should have aroused suspicion
   - → (C) SA 600 applies equally to the relationship between Rohan & Co. and its joint auditor
   - → (D) If the work cannot be used and no additional procedures are possible, Rohan & Co. should issue an adverse opinion
4. CA Kartik tests every sales invoice above ₹25 lakh and every related party transaction, finding no errors. He concludes that sales as a whole are free from material misstatement. His approach is:
   - → (A) audit sampling subject to sampling risk; conclusion valid
   - → (B) selective examination of specific items; results cannot be projected to the remainder; it is subject to non-sampling risk, and the remainder needs separate evidence
   - → (C) statistical sampling, since every high-value item had a chance of selection
   - → (D) a test of controls on revenue

App-written

ICAI ·

Answers: 1 (B) — SA 450 requires reassessment of SA 320 materiality before evaluating uncorrected misstatements; lower revised amount → reconsider performance materiality and NTE (SM Ch 4 TYK 13); communicate to TCWG and request correction (SM Ch 3). (C) ignores aggregation; (D) — clearly trivial is a much smaller order than materiality. 2 (C) — audit plan contents (SM Ch 3 para 1.6; TYU 2 on sample size); (A) and (B) are benefits of the strategy (resources), (D) is a strategy consideration (reporting objectives). 3 (B) — SM SA 600 paras on statutory appointment, competence of non-ICAI auditor, division of responsibility; (C) — SA 600 does not deal with joint auditors; (D) — SM says qualified or disclaimer (scope limitation), not adverse. 4 (B) — SM Ch 5 opening case: selecting specific items is not audit sampling.

Ⓜ Examiner-style MCQs — Review, Specialised Areas, PFI and Assurance, Related Services

App-written practice questions based on ICAI SM — not ICAI questions.

Case 1 — Sarovar Polymers Ltd (SRE 2400 / SRE 2410)

Sarovar Polymers Ltd, listed on NSE, makes PVC compounds at Dahej and Hosur. M/s Desai & Kulkarni, Chartered Accountants, are its statutory auditors for FY 2025-26 and are carrying out the review of the unaudited standalone results for the quarter and half-year ended 30 September 2025, to be filed under Regulation 33 of the SEBI (LODR) Regulations. The results are prepared under Ind AS 34.

The quarter was eventful. The Hosur plant was shut for 19 days after a boiler inspection; the board approved a ₹140 crore capacity expansion; and a new ERP went live on 1 August 2025. Revenue for the quarter was ₹612 crore against ₹548 crore in Q1. While reading the September sales register, the engagement manager noticed an invoice of ₹48 crore dated 29 September 2025 to a new distributor in Nepal; goods left the Dahej plant on 3 October 2025. A supplier has also filed a ₹12 crore claim in the Gujarat High Court, which management describes as "remote".

On 20 October 2025 the auditors told the CFO that, in their view, the ₹48 crore sale should be reversed for the results to be prepared in accordance with Ind AS. No reply came. On 1 November 2025 they wrote to the Audit Committee; by 10 November 2025 the Audit Committee had also not responded appropriately.

Separately, Sarovar Packaging Pvt Ltd, an unlisted subsidiary, has taken a term loan from Narmada Credit Ltd. The loan agreement requires the subsidiary's financial statements for the year ended 31 March 2026 to be reviewed by an independent chartered accountant. The subsidiary's statutory auditor is CA Rao; Narmada Credit has appointed CA Nidhi Bhatt for the review. During her review CA Nidhi found ₹7.4 crore of receivables over 365 days past due with no allowance. After inquiry, after-date receipts analysis and an attempt at confirmations, she still could neither conclude that the balance is not likely to be misstated nor determine that it is misstated. The matter is material to the subsidiary's FS but confined to receivables. Management of the subsidiary has also declined to sign the representation that "all transactions have been recorded and are reflected in the financial statements", saying the new ERP "speaks for itself".

1. *Which engagement standards govern (I) the Q2 review of Sarovar Polymers Ltd and (II) CA Nidhi's review of Sarovar Packaging Pvt Ltd?*

1. *(A) (I) SRE 2400; (II) SRE 2410*
2. *(B) (I) SRE 2410; (II) SRE 2400*
3. *(C) (I) SRE 2410; (II) SA 805, as it is for a lender*
4. *(D) Both SRE 2410, since both relate to FY 2025-26 periods*

2. *On the ₹48 crore invoice, which course is most appropriate under the relevant SRE?*

1. *(A) Since a review ordinarily does not require tests through inspection, observation or confirmation, accept management's explanation and move on.*
2. *(B) Make additional inquiries or perform other procedures sufficient to resolve the question, such as discussing the terms with senior marketing and accounting personnel or reading the sales contract.*
3. *(C) Convert the engagement into an audit of revenue under SA 805 for the quarter.*
4. *(D) Issue a qualified conclusion straightaway, as the invoice is dated within the last several days of the interim period.*

3. Given the CFO's and Audit Committee's silence, which of the following can the auditors consider under the relevant SRE? (i) Whether to modify the review report; (ii) the possibility of withdrawing from the review engagement; (iii) the possibility of resigning from the appointment to audit the annual financial statements; (iv) reporting the matter directly to the stock exchange in place of a review report.

1. (A) (i) only
2. (B) (i) and (ii) only
3. (C) (i), (ii) and (iii) only
4. (D) (i), (ii), (iii) and (iv)

4. The subsidiary's management refuses the "all transactions recorded" representation. CA Nidhi has no doubt about management's integrity otherwise. She should:

1. (A) Express a qualified conclusion, as only one representation is missing.
2. (B) Include an Other Matter paragraph stating that the representation was not obtained.
3. (C) Disclaim a conclusion, or withdraw from the engagement if withdrawal is possible under law or regulation.
4. (D) Rely on the ERP audit trail, since inability to obtain one item of evidence is not a scope limitation.

5. Ignore Q4. For the receivables matter alone, the conclusion paragraph should read:

1. (A) "...except for the effects of the matter described in the Basis for Qualified Conclusion paragraph, nothing has come to our attention..."
2. (B) "...except for the possible effects of the matter described in the Basis for Qualified Conclusion paragraph, nothing has come to our attention..."
3. (C) "...due to the significance of the matter... we do not express a conclusion..."
4. (D) "...due to the significance of the matter... the financial statements are not prepared, in all material respects..."

ICAI ·

Answers: 1 (B) — SRE 2410 applies when the review of interim FI is done by the independent auditor of the entity; SRE 2400 applies when the practitioner is not the auditor (CA Nidhi is not; CA Rao is). Trap (C): SA 805 is an audit of an element, not a review. 2 (B) — SRE 2410: when a matter makes the auditor question whether a material adjustment is needed, make additional inquiries or other procedures; the SM's own example is discussing sales terms with senior marketing/accounting personnel or reading the contract. Trap (A): "ordinarily no tests" does not override this requirement. 3 (C) — SRE 2410 communication: management → TCWG → if TCWG do not respond appropriately, consider modifying the report, withdrawing, and resigning from the audit appointment. (iv) is not in the SM. 4 (C) — SRE 2400: disclaim or withdraw (if permitted) when management does not give the representations on its responsibility for preparing the FS and recording all transactions; integrity doubt is a separate, alternative ground. Trap (A): a qualified conclusion is not the SM response for these representations. 5 (B) — inability to obtain sufficient appropriate evidence, material but not pervasive → qualified conclusion with "possible effects". (A) is the wording for an actual misstatement; (C) is a disclaimer (pervasive); (D) is adverse.

Case 2 — Kaveri Agro Foods Ltd (SA 800 / SA 805 / SA 810)

Kaveri Agro Foods Ltd, Mysuru, processes millets and spices and exports to 14 countries. M/s Shah Iyer & Co. (engagement partner CA Mehul Shah) audited its complete set of Ind AS financial statements for FY 2025-26 and signed the audit report on 22 May 2026. The report contains a **qualified opinion** because slow-moving spice inventory of ₹9.2 crore was carried at cost though its net realisable value was estimated at ₹3.1 crore. It also contains two Key Audit Matters, on export incentives and on revenue cut-off.

G6 · App-written

The company's term lender, Konkan Infra Finance Ltd, requires "Covenant Financial Statements" prepared under the financial reporting provisions of the loan agreement, which, among other things, value biological assets at cost and exclude unrealised forex gains. The company and the lender have agreed in writing that misstatements below ₹5 lakh need not be corrected. Shah Iyer & Co. have been asked to audit these Covenant Financial Statements. The CFO also mentions that the lender will upload them on its investor portal.

Kaveri's working-capital banker, Cauvery Grameena Bank, wants an audit report on the inventory schedule of ₹62 crore as at 31 March 2026 for drawing-power purposes. Shah Iyer & Co. have accepted this as a separate engagement.

For its AGM brochure, Kaveri has prepared summary financial statements derived from the audited financial statements. The board approved them on 25 June 2026. Shah Iyer & Co. completed procedures on them on 28 June 2026 and plan to sign the report on 30 June 2026. They are satisfied that the summary financial statements are consistent, in all material respects, with the audited financial statements in accordance with the applied criteria. Between 22 May and 30 June the company lost a ₹4 crore export receivable when a buyer in Dubai went into liquidation.

6. For the Covenant Financial Statements, how does the ₹5 lakh agreed threshold affect materiality?

1. (A) The auditor adopts ₹5 lakh as overall materiality, since the intended users have agreed it.
2. (B) The threshold does not relieve the auditor from determining materiality under SA 320; materiality judgments are based on the financial information needs of the intended users.
3. (C) Materiality is based on the common financial information needs of users as a group, as for general purpose FS.
4. (D) Materiality need not be determined, as the FS are prepared under a special purpose framework.

7. Which statement about the Covenant FS audit report is correct?

1. (A) An Emphasis of Matter paragraph alerting readers to the special purpose framework is optional; a restriction on distribution is mandatory because the lender will upload the FS.
2. (B) An Emphasis of Matter paragraph alerting readers is required; the auditor may, in addition, consider restricting distribution or use, depending on law, and modify the heading accordingly.
3. (C) Both are required, and the opinion must be qualified as the FS are not neutral.
4. (D) Neither is needed if the report describes the purpose of the FS.

8. In considering the implications of the qualified opinion on the complete set for the separate inventory schedule audit, which of the following is NOT a factor stated in SA 805?

1. (A) The nature of the matter and the extent to which it relates to the element
2. (B) The pervasiveness of the matter described in the report on the complete set
3. (C) The time elapsed since the date of the auditor's report on the complete set
4. (D) The overall materiality determined for the complete set of financial statements

9. What must the report on the summary FS contain, beyond the normal SA 810 elements?

1. (A) An adverse opinion, because the underlying audit opinion is modified.
2. (B) No opinion, with a statement that expressing one is inappropriate.
3. (C) A statement that the audit report includes a qualified opinion and communication of key audit matters, and a description of the basis for the qualified opinion and its effect, if any, on the summary FS.
4. (D) A qualified opinion on the summary FS repeating the inventory qualification, with the two KAMs reproduced in full.

10. On dating and the Dubai receivable, which is correct?

1. (A) The summary FS report must carry 22 May 2026, the date of the audit report.
2. (B) The report may be dated 30 June 2026 and must state that the summary FS and the audited FS do not reflect the effects of events after 22 May 2026; no additional audit evidence on the audited FS is required.
3. (C) The report may be dated 30 June 2026 only after the auditor extends subsequent-event procedures to 30 June and the summary FS are adjusted for the ₹4 crore loss.
4. (D) The report may be dated 25 June 2026, the board approval date, without any additional statement.

ICAI ·

Answers: 6 (B) — SA 800: an agreed threshold below which misstatements are not corrected does not relieve the auditor from determining materiality per SA 320; for special purpose FS, materiality is judged on the intended users' needs. (C) is the general purpose rule. 7 (B) — the alert (EOM paragraph, separate section with "Emphasis of Matter" in the heading) is required; restriction is something the auditor "may consider appropriate", depending on law. Trap (A) reverses the two. 8 (D) — SA 805 factors: nature and relation to the element, pervasiveness, framework differences, period differences, time elapsed. Materiality of the complete set is not listed (SA 805 does say element materiality may be lower). 9 (C) — SA 810: when the audit report has a qualified opinion or KAMs and the summary FS are consistent, state this and describe the basis for the qualification and its effect. (A) applies when the summary FS themselves are inconsistent; (B) applies when the audit report is adverse or a disclaimer. 10 (B) — dated no earlier than evidence obtained (28 June) and the audit report date; a later date requires the statement about subsequent events; no additional evidence on the audited FS or reporting on later events is required. (C) is the trap.

Case 3 — Tarang Logistics group (SAE 3400 / SAE 3402 / SRS 4400 / SRS 4410)

Tarang Logistics Pvt Ltd, Nagpur, runs 420 trucks and three warehouses. Its revenue for FY 2025-26 was ₹386 crore. For a ₹90 crore term loan, it has prepared prospective financial information for FY 2026-27 to FY 2031-32. The first year is built on management's expected freight rates and fleet utilisation; years two to six also include revenue from a cold-chain corridor between Nagpur and Hyderabad, which depends on a state tender that has not yet been floated. The bank has asked CA Ritu Agarwal (not the statutory auditor) to examine the PFI. Management's notes say the information is "intended for the bank only".

Tarang has outsourced payroll for its 2,300 drivers to Paylink Services Pvt Ltd, which computes wages and deducts and remits PF, ESI and TDS. The statutory auditor of Tarang wants assurance on whether Paylink's controls over remittances were suitably designed and actually worked across the whole of FY 2025-26, and has asked Paylink to get a report from its own auditor.

Himgiri Capital, which is considering a 26% stake in Tarang, has asked CA Arjun Khanna to send confirmation requests to all debtors with balances over ₹25 lakh as at 31 March 2026, compare the replies with the ledger and report the differences. CA Arjun's wife is a director of Tarang's sister concern. The engagement terms do not require independence.

Tarang's promoters also run a partnership firm, Tarang Fleet Services, whose accountant has handed over a trial balance to CA Mansi Joshi with a request to prepare the firm's financial statements for FY 2025-26 for the partners' own use. While compiling them, she found that a diesel advance of ₹38 lakh to a vendor that closed down in 2024 is still shown as recoverable. The partners agreed to write it off.

II. How is Tarang's PFI classified, and what must CA Ritu obtain evidence on for the cold-chain assumption?

G6 · App-written

1. (A) A forecast; that the assumption is not unreasonable.
2. (B) A combination of a forecast and a projection; that the hypothetical assumption is consistent with the purpose of the information (and there is no reason to believe it is clearly unrealistic), with all its significant implications reflected.
3. (C) A projection only; that the tender will be won, failing which she must give an adverse opinion.
4. (D) A combination; that the assumption reflects anticipated experience with no provision for risk of adverse deviation.

12. Which of the following is NOT one of the matters SAE 3400 lists for deciding the nature, timing and extent of examination procedures?

1. (A) The stability of the entity's business
2. (B) Management's competence regarding the preparation of PFI
3. (C) Whether the information will be for general or limited distribution
4. (D) The engagement team's experience with the business, the industry and reporting on PFI

13. Paylink's auditor finds 6 late PF remittances in a sample of 60, but concludes that the related control objective was still achieved. Which report is appropriate and how are the deviations treated?

1. (A) Type 1 report; deviations are not reported as the objective was achieved.
2. (B) Type 2 report; deviations are reported only if the control objective was not achieved.
3. (C) Type 2 report; the tests of controls section states the extent of testing including the sample size and the number and nature of deviations, even though the objective was achieved.
4. (D) Type 1 report with an Emphasis of Matter paragraph on the deviations.

14. On CA Arjun's engagement, which is correct?

1. (A) He cannot accept, as independence is a precondition for any engagement involving confirmations.
2. (B) He may accept; independence is not a requirement unless the terms or objective require it, and if he is not independent his report of factual findings should say so.
3. (C) He may accept, but must express limited assurance on receivables.
4. (D) He may accept, and no disclosure is needed because no assurance is given.

15. Which of the following must CA Mansi include in her documentation? (i) Significant matters arising and how she addressed them, such as the diesel advance; (ii) a record of how the compiled FS reconcile with the trial balance and other information provided; (iii) a copy of the final version of the compiled FS for which the partners have acknowledged responsibility, and her report; (iv) who reviewed the work, and the period and extent of that review.

1. (A) (i) and (iii) only
2. (B) (i), (ii) and (iii) only
3. (C) (ii), (iii) and (iv) only
4. (D) (i), (ii), (iii) and (iv)

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Answers: 11 (B) — year one rests on what management expects (best-estimate → forecast); years two to six include an event not necessarily expected (hypothetical → projection); SAE 3400 allows a combination. For hypothetical assumptions, the duty is consistency with purpose; procedures check that all significant implications are considered and that the assumption is not clearly unrealistic. (D) defines a best-estimate assumption; (C) is wrong because SAE 3400 does not vouch that results will be achieved. 12 (C) — general or limited distribution is an acceptance consideration (2.6), not an NTE matter (2.7). This is the classic look-alike. 13 (C) — operating effectiveness throughout a period → Type 2; deviations, sample size and the number and nature of deviations are reported even if the auditor concludes the objective was achieved. 14 (B) — SRS 4400: independence is not a requirement unless the terms or objective require it; if not independent, say so in the report. (D) misses the disclosure. 15 (B) — SRS 4410 documentation is (i), (ii) and (iii). (iv) is an SRE 2400 documentation item; for compilations, the engagement partner's responsibility for overall quality is set out in the engagement-level QC paragraph, not in this documentation list.

Standalone MCQs

16. Indus Renewables Ltd's prospectus includes pro forma financial information illustrating the acquisition of a wind-farm company on 1 January 2026 as if it had taken place on 1 April 2025. CA Pooja reports under SAE 3420. Which of the following statements would NOT appear in her report?

1. (A) For this engagement, she is not responsible for updating or reissuing any reports or opinions on the historical financial information used in compiling the pro forma financial information.
2. (B) She has not performed an audit or review of the financial information used in compiling the pro forma financial information.
3. (C) The pro forma financial information presents fairly the actual financial position of the company as at 1 April 2025.
4. (D) The pro forma financial information has been properly compiled on the basis stated.

17. CA Vikram, statutory auditor of Rudra Steels Ltd (listed), signed his review report on the results for the quarter ended 30 September 2025 on 8 November 2025. On 20 November 2025 a major customer owing ₹22 crore was admitted into insolvency. On 15 October 2025 a fire had damaged a warehouse. Under SRE 2410, which is correct about his responsibility for events after the balance sheet date?

1. (A) He must inquire about events up to 30 September 2025 only, as that is the interim period end.
2. (B) He must inquire whether management has identified all events up to 8 November 2025 that may require adjustment or disclosure; he need not perform other procedures to identify events after 8 November 2025.
3. (C) He must perform procedures up to the date the results are published on the stock exchange, which covers the 20 November insolvency.
4. (D) He must obtain a lawyer's confirmation for all events between 1 October and 8 November 2025.

18. CA Farah has issued an adverse opinion on the complete set of FY 2025-26 financial statements of Neelgiri Textiles Ltd. In a separate engagement, the company asks her to audit its Statement of Cash Flows for a foreign buyer. The report will not be published with the adverse report and no law prohibits it. Can she express an unmodified opinion on the Statement of Cash Flows?

1. (A) Yes, because all three conditions — not prohibited by law, not published together, and not a major portion — are met.
2. (B) Yes, provided she includes an Other Matter paragraph referring to the adverse opinion.
3. (C) No, because a single financial statement is deemed to constitute a major portion of the complete set, even if the report is not published together.
4. (D) No, because SA 805 cannot be applied by the auditor who audited the complete set.

G6 · App-written

ICAI ·

Answers: 16 (C) — pro forma FI does not represent actual position or performance; the SAE 3420 report states that no assurance is given that the actual outcome would have been as presented. (A) and (B) are required statements of the practitioner's responsibilities; (D) is one of the two equivalent opinion phrases. 17 (B) — SRE 2410: inquire whether management has identified all events up to the date of the review report; no other procedures are needed for events after that date. The 15 October fire falls inside this window; the 20 November insolvency does not. (D): a lawyer's inquiry letter is ordinarily not necessary in a review. 18 (C) — SA 805: an unmodified opinion on a single FS is not allowed when the complete set has an adverse opinion or disclaimer, even if not published together, because a single FS is deemed a major portion. The three-condition route in (A) is available only for an element (e.g. receivables). (D): SA 805 expressly covers engagements done together with the complete-set audit.

App-written

67 MCQ cases — Digital Auditing; SDG and ESG Assurance

App-written practice questions based on ICAI SM — not ICAI questions.

Case 1 · Shreeram Polymers Ltd (Ch 12 — IT environment, IT dependencies, ITGC, CAATs)

Shreeram Polymers Ltd, Pune, makes PVC pipes at three plants and sells through 22 depots. Turnover for FY 2025-26 is ₹1,840 crore, up 19% after a new agricultural-pipe range was launched in Marathwada. The board is debating a QIP of ₹300 crore and has asked the CFO to "clean up the books" before the issue. The company moved its plants to a new ERP on 1 July 2025; 9 depots still run the older version of the same billing software because their internet links are weak, and the IT head says patches on those depots "will be pushed next quarter". The sales data from depots is uploaded each night into the ERP.

CA Meera, engagement partner, notes the following during planning:

- *Depreciation on plant and machinery is computed by the ERP using the straight-line formula on cost less residual value over useful life.*
- *In November 2025 the IT team changed the discount-rate table in the pricing module directly in the production environment to meet a festive offer deadline; no test record or approval exists. The IT team says "it was urgent".*
- *Payroll is processed in a separate HR package; the monthly payroll totals are carried by programmed logic into the ERP general ledger. In two months the GL total did not match the payroll register.*
- *At year-end, the depot data in the ERP shows several cash sales above ₹10,000, and the invoice series at two depots is out of sequence.*
- *Three ex-employees of the accounts department still have active ERP IDs.*

The CFO insists that since the ERP is "a leading brand", the auditor should rely on it fully and limit testing to the QIP-sensitive revenue line. CA Meera's team is planning to use ACL on the full GL dump of 2.1 crore lines, as Excel cannot handle the size.

App-written

1. As per the SM classification of IT dependencies, the depreciation computed by the ERP is an example of:
    1. (A) An automated control enforcing a business rule
    2. (B) A calculation
    3. (C) A system-generated report
    4. (D) An interface
2. The November 2025 change to the discount-rate table relates to which ITGC area, and what is that area's control objective as per SM?
    1. (A) Access security — access to programs and data is authenticated and authorised to meet financial reporting objectives
    2. (B) Data centre and network operations — production systems are appropriately backed up to meet financial reporting objectives
    3. (C) Program change — modified systems continue to meet financial reporting objectives
    4. (D) Program change — emergency changes need no approval if documented later
3. Which of the following facts fall under the SM risk "system integration and compatibility"? (i) 9 depots on an older version of the same software; (ii) patches not applied at depots; (iii) payroll totals not matching the GL after transfer; (iv) active IDs of ex-employees.
    1. (A) (i) only
    2. (B) (i) and (ii) only
    3. (C) (i), (ii) and (iii) only
    4. (D) (i), (ii), (iii) and (iv)
4. CA Meera's ACL run flags (a) cash sales above ₹10,000 and (b) invoices out of sequence. Under the SM's list of CAAT tests, these are respectively:
    1. (A) Accounts exceeding authorised limit; existence of records
    2. (B) Identify exceptions; data consistency
    3. (C) Identify errors; data completeness
    4. (D) Identify exceptions; data completeness
5. Ignoring the CFO's view, CA Meera must assess the complexity of the IT environment. Which of the following is NOT a factor listed in the SM for assessing complexity?
    1. (A) Entity's reliance on system-generated reports
    2. (B) Customisation in IT applications
    3. (C) Significant changes done during the year
    4. (D) Number of users holding administrator rights

App-written

ICAI ·

Answers: 1 (B) — SM 4.3.2: "Calculations" are accounting procedures performed by the IT system instead of a person, e.g. straight-line depreciation. Trap (A): automated controls enforce business rules at entry (format, existence, reasonableness checks). 2 (C) — SM ITGC chart: program change objective is that modified systems continue to meet FR objectives; controls include segregated dev/test/production, testing and approval before migration, and emergency changes approved. (D) contradicts "emergency changes are approved". 3 (C) — SM 4.2: compatibility risks arise from different versions of the same software and unupgraded patches; if integration between two systems is not appropriate the end result is incorrect (payroll → GL). (iv) is unauthorised access / excess privileges, not integration. 4 (B) — TYU 2 answer: "identify exceptions" example is cash transactions above ₹10,000; "data consistency" example is invoices not in the required sequence. Trap (D): completeness in SM is null values in key fields, not sequence; trap (A): authorised limit is about users or payments beyond a set limit. 5 (D) — SM 3.1(5) factors: automation used, reliance on system reports, customisation, business model, significant changes, emerging technologies. Admin rights is an access-security matter.

Case 2 · Vasundhara Finserv Ltd (Ch 12 — cyber attacks, framework, remote audit)

Vasundhara Finserv Ltd, a Jaipur-based NBFC with a loan book of ₹6,200 crore, is audited by Kothari & Bansal LLP for FY 2025-26. The firm is doing a large part of the audit remotely because the company's 140 branches are spread across Rajasthan and Gujarat; documents are exchanged on a sharing platform and the audit team accesses the loan management system through a link set up by the client's IT team.

The company's year was eventful. Its gold-loan portfolio grew 34%, and the RBI inspection team sought explanations on its collection agents. Meanwhile, the IT security log shows:

- → On 12 August 2025, the Chairman received an e-mail that looked like it came from a rating agency, asking him to log in and "confirm the outlook". He did not click.
- → On 3 September 2025, 60 branch cashiers received text messages offering a "salary-revision form" link.
- → On 19 October 2025, an accountant received a phone call from a person claiming to be from the company's bank, asking for the OTP to "unblock" the current account.
- → On 2 December 2025, the customer portal was unavailable for nine hours as it was flooded with false requests; no data was lost and no payment was demanded.
- → On 28 January 2026, a ransomware attack encrypted the collections database at four branches; backups were partly unusable.

The CISO has prepared an incident report. The audit committee wants comfort that the statutory audit "covers cyber". The engagement partner, CA Ritu Kothari, plans the following for the remote audit: (i) take screenshots of branch staff on video calls to evidence that they attended the walkthrough; (ii) take screenshots of the bank reconciliation of the Udaipur branch after the company has authorised it in writing; (iii) get VPN access for the team, to be terminated when the audit is completed; (iv) keep all client documents on the sharing platform until next year's audit so that comparatives can be checked.

App-written

1. The attacks of 12 August, 3 September and 19 October are, as per SM definitions, respectively:
    1. (A) Spear phishing; smishing; vishing
    2. (B) Whaling; smishing; vishing
    3. (C) Whaling; vishing; smishing
    4. (D) Email spoofing; mobile malware; identity-based attack
2. The event of 2 December 2025 is best described as:
    1. (A) Ransomware
    2. (B) DNS tunnelling
    3. (C) Denial-of-Service attack
    4. (D) Fileless malware
3. While evaluating whether the entity's risk assessment process considers cybersecurity risks, which procedure falls under the "Identify" function of the cybersecurity framework in the SM?
    1. (A) Checking whether firewall logs are continuously monitored and the number of denied events reviewed
    2. (B) Checking that the entity maintains and periodically reviews an inventory of information assets and has defined CISO/CIO responsibilities
    3. (C) Checking that the incident report captures the nature of the ransomware incident and how it was identified
    4. (D) Checking that patch upgrades and better firewall tools were implemented after the attack
4. Which of CA Ritu's planned remote-audit steps are consistent with the SM?
    1. (A) (i), (ii) and (iii)
    2. (B) (ii) and (iii) only
    3. (C) (ii), (iii) and (iv)
    4. (D) (iii) only
5. The audit committee asks which "indicative areas" of cyber impact the SM lists. Which of the following is NOT one of them?
    1. (A) Incident response cost for investigations and remediations
    2. (B) Intellectual property theft, possibly resulting in an impairment charge
    3. (C) Fines and penalties
    4. (D) Rise in cost of borrowing due to rating downgrade

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Answers: 1 (B) — SM 5.1: whaling targets senior or C-level executives; smishing uses text messages; vishing uses phone calls and voice messages. Trap (A): spear phishing targets specific individuals, but the SM gives a specific name for executive targets (ICAI May 2026 MCQ keyed the Chairman e-mail as whaling). (C) swaps SMS and phone. 2 (C) — DoS floods a network with false requests; most DoS attacks do not result in lost data and are resolved without ransom. Ransomware encrypts and demands payment (that is 28 January). 3 (B) — SM 5.3.1: entity maintains and periodically reviews inventory of information assets; roles and responsibilities (CISO, CIO). (A) is Detect, (C) Respond, (D) Recover. 4 (B) — SM 5.5: auditors should not take screenshots of auditees; screenshots of documents only if previously authorised; VPN access terminated timely; information once reviewed is removed from the platform and archived — so (i) and (iv) fail. 5 (D) — Stage 2 list: regulatory costs, business interruption, data loss/reputation/litigation, ransomware, IP theft, incident response cost, breach of privacy, fines and penalties. Borrowing cost is not listed.

App-written

Case 3 · Narmada Agro-Chem Ltd (Ch 18 — BRSR, IR capitals, SSAE 3000, auditor's role)

Narmada Agro-Chem Ltd, Bharuch, is a listed manufacturer of pesticides and plant-growth regulators and has been among the top 1,000 listed entities by market capitalisation for six years. Revenue for FY 2025-26 is ₹2,460 crore. About 11% of revenue comes from a red-labelled insecticide; the Central Insecticide Board has asked for additional toxicity studies and the company's legal team estimates possible claims from farmer groups. The promoter's son, newly inducted as Executive Director, is keen to list a subsidiary on an overseas exchange and spends most board meetings on that.

The sustainability team is drafting the BRSR and the Integrated Report. Inputs received:

→ The company is a member of four industry chambers. In June 2025 it submitted written comments to the Ministry on a draft pesticide management bill.

→ A structured leadership development programme was run for 600 managers on innovation and ethical decision-making.

→ A fully automated formulation line with smart controls was commissioned at Dahej, reducing wastage.

→ Beneficiaries under its flagship CSR programme for farm families rose from 8,000 to 52,000.

The board has appointed CA Firm P to give assurance on the sustainability information in the BRSR for the year ended 31 March 2026. Separately, CA Firm Q, the statutory auditor, is completing the audit of financial statements; the annual report will carry the BRSR and a chairman's letter calling the company "toxin-free by 2027", though no phase-out plan exists.

CA Firm P's draft work plan lists its steps in this jumbled order: (P) issuance of assessment report and assessment statement; (Q) on-site assessment / verification of ESG report; (R) review of responses and clarifications on the findings; (S) preliminary review of ESG report, parameters; (T) submission of findings of on-site assessment and document review; (U) preparation of assessment / verification report including final results.

App-written

1. The comments submitted to the Ministry on the draft bill will be disclosed under:
    1. (A) Principle 7 — Essential indicator, mandatory
    2. (B) Principle 7 — Leadership indicator, optional
    3. (C) Principle 4 — Leadership indicator, optional
    4. (D) Principle 1 — Essential indicator, mandatory
2. The leadership programme, the automated line and the CSR beneficiaries refer respectively to which capitals of Integrated Reporting?
    1. (A) Intellectual; Manufactured; Social and relationship
    2. (B) Human; Intellectual; Social and relationship
    3. (C) Human; Manufactured; Social and relationship
    4. (D) Human; Manufactured; Natural
3. For CA Firm P's engagement for the year ended 31 March 2026, which statement is correct as per SM?
    1. (A) SSAE 3000 is voluntary, as it was made applicable voluntarily for periods ending 31 March 2023
    2. (B) SSAE 3000 is mandatory, and the engagement may provide reasonable or limited assurance
    3. (C) SSAE 3000 is mandatory and permits only reasonable assurance
    4. (D) SSAE 3000 does not apply; SAE 3410 governs all assurance on BRSR
4. The correct sequence of CA Firm P's steps as per the SM methodology for assurance on BRSR is:
    1. (A) S, Q, R, T, U, P
    2. (B) S, Q, T, R, U, P
    3. (C) Q, S, T, R, P, U
    4. (D) S, T, Q, R, U, P
5. Which of the following are correct for CA Firm Q (statutory auditor) as per SM? (i) Consider climate-related risks while understanding the entity; (ii) read the BRSR and chairman's letter for consistency with the financial statements under SA 720; (iii) give an Emphasis of Matter paragraph in every case where climate risk exists; (iv) consider SA 250 for the CIB matter and SA 570 if claims may not be satisfied.
    1. (A) (i), (ii) and (iv) only
    2. (B) (i), (ii), (iii) and (iv)
    3. (C) (ii) and (iv) only
    4. (D) (i) and (iii) only

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Answers: 1 (B) — SM TYK 7 answer: membership of chambers is an Essential indicator (mandatory) under Principle 7; inputs to a Ministry on a legislative bill are Leadership indicators (optional). Trap (A) is right only for the chamber membership. 2 (C) — SM 4: people's skills, ability to lead = Human; human-created production equipment = Manufactured; relationships with communities = Social (SM answer calls it "Social and Relationship"). Trap (B): automation is not Intellectual; the line is equipment. 3 (B) — SM 7.1.3: mandatory for assurance reports covering periods ending on or after 31 March 2024; applies to engagements providing reasonable or limited assurance. (D) wrong: SAE 3410 is on GHG statements. 4 (B) — SM 7.1.4: preliminary review → on-site assessment → submission of findings → review of responses → preparation of report → issuance. Trap (A) reviews responses before findings are submitted. 5 (A) — SM para 8: climate risk in understanding the entity; SA 720 for other information; EOM only "in some circumstances" for disclosures of fundamental importance — not every case; agrochemical case uses SA 250 and SA 570.

App-written

Standalone MCQs

1. Ankur Foundation, a social enterprise in Vidarbha, runs a programme to raise the income of small and marginal farmers through drip irrigation and market linkages; it also trains rural youth in mobile repair. An independent social auditor is engaged to assess the impact of the **farmer-income** programme only. The Social Audit Standard most directly applicable is:
    1. (A) SAS 100
    2. (B) SAS 300
    3. (C) SAS 1000
    4. (D) SAS 1300
2. Prabhat Logistics Ltd's finance team uses a tool that combines bots handling vendor invoices across the ERP and the GST portal with machine-learning models that identify patterns in rejected invoices and refine the workflow over time. As per the SM's range of automated solutions, this is:
    1. (A) Macros and scripts
    2. (B) Business Process Automation
    3. (C) Robotic Process Automation
    4. (D) Intelligent Process Automation
3. An analyst preparing an ESG score for Medicura Pharma Ltd groups "privacy and data security" and "tax transparency" under the ESG pillars as per the SM chart. The correct placement is:
    1. (A) Both under Governance — corporate behaviour
    2. (B) Privacy and data security under Social — product liability; tax transparency under Governance — corporate behaviour
    3. (C) Privacy and data security under Governance — corporate governance; tax transparency under Social — social opportunity
    4. (D) Privacy and data security under Social — human capital; tax transparency under Governance — corporate governance

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Answers: 1 (C) — SM 7.1.5: SAS 1000 covers promoting livelihoods for rural and urban poor including enhancing income of small and marginal farmers. Trap (B) SAS 300 (education, employability, livelihoods) fits the youth training, which is outside the engagement. (D) SAS 1300 is financial inclusion. 2 (D) — SM 2.3.4: IPA combines RPA with AI technologies to identify patterns, learn over time and optimise workflows. Trap (C): RPA alone automates repetitive tasks across multiple systems but does not learn. 3 (B) — SM ESG chart: Social → Product liability includes privacy and data security; Governance → Corporate behaviour includes tax transparency.

G8 MCQ case scenarios — Due Diligence/Forensic, PSU Audit, Group Audits, Internal Audit

App-written practice questions based on ICAI SM — not ICAI questions.

Case Scenario 1 — Nirmala Polymers Ltd (SM Ch 17)

Nirmala Polymers Ltd (NPL), a listed manufacturer of PVC pipes in Pune, had a revenue of ₹1,860 crore in FY 2024-25. Its board approved in principle, on 12 June 2025, the purchase of a 74% stake in Ketan Packaging Pvt Ltd (KPPL), Vapi. A non-binding term sheet was signed the same day; the share purchase agreement is expected to be signed in October 2025. KPPL's founder, Mr. Ketan Desai, is 78 and wants to retire. NPL's own strategy team spent April and May 2025 studying whether KPPL's film lines would create operational synergies with NPL's extrusion plants, but its report is still in draft. NPL's CFO wants M/s RSK & Co., Chartered Accountants, to "start the financial due diligence at once and call it the complete due diligence, since money is all that matters".

RSK's preliminary review of KPPL shows: GST show cause notices of ₹4.2 crore that have not turned into demands and are not disclosed as contingent liabilities; a letter of comfort given to a bank for a sister concern's ₹30 crore cash credit; inter-company balances with two group companies that have not been reconciled for 18 months; customs duty on imported resin finalised only on a provisional basis; and quoted shares held as long-term investments carried at cost of ₹6 crore against a market value of ₹1.1 crore. KPPL changed its inventory valuation policy in FY 2024-25, the year it decided to look for a buyer.

Separately, NPL's internal auditor reported that transport payments at NPL's Nashik plant rose 41% in FY 2024-25 while dispatch tonnage rose only 6%. The board engaged CA Leena Shah as forensic professional. Her team extracted ERP payment logs, vendor master change logs and e-mails, but no one recorded who extracted each file, when, or where it was stored. Her draft report, discussed with the logistics manager as the mandate required, ends with: "Mr. Pradeep Kale, logistics manager, is guilty of colluding with two transport vendors."

1. As per the SM, when is the thorough, detailed due diligence on KPPL typically conducted?
   - → (A) Before NPL's board agrees in principle, to decide whether to talk to KPPL at all
   - → (B) After the in-principle agreement and preliminary understanding (June 2025), but before the binding share purchase agreement (October 2025)
   - → (C) After the share purchase agreement is signed but before completion, so that warranties are already fixed
   - → (D) After completion, as a post-acquisition review of what was bought
2. Which of RSK's findings fall in the SM's list of ***hidden liabilities***? (i) GST show cause notices not matured into demands; (ii) letter of comfort to the bank; (iii) unreconciled group company balances; (iv) customs duty assessed only provisionally; (v) quoted investments carried at cost.
   - → (A) (i), (ii) and (iv) only
   - → (B) (i), (ii), (iii) and (iv) only
   - → (C) (i), (iv) and (v) only
   - → (D) All of (i) to (v)
3. Regarding the CFO's instruction, which statement is in line with the SM?
   - → (A) Tax due diligence is always a separate exercise and can never be included in financial due diligence
   - → (B) Financial due diligence should be performed after completion of commercial due diligence, and the term "financial due diligence" should not be confused with an overall due diligence unless its scope covers all aspects
   - → (C) Commercial/operational due diligence is generally performed by the target's statutory auditor, so RSK should complete it first
   - → (D) Since financial due diligence ascertains the financial implications of all other reviews, it is appropriate to call it the complete due diligence
4. What is the most likely consequence of the way CA Leena Shah's team collected the electronic evidence?
   - → (A) None, because a forensic report does not express an opinion and evidence quality is therefore not critical
   - → (B) The engagement must be converted into a statutory audit so that sampling can be applied
   - → (C) The final report must carry an "except for" qualification on the electronic evidence
   - → (D) The chain of custody is broken; the evidence may be challenged in court or even become inadmissible, defeating the objective of the engagement
5. The last sentence of the draft forensic report is:
   - → (A) Acceptable, because the subject party was given the draft for discussion as the mandate required
   - → (B) Not acceptable; under FAIS 510 the report shall not express an opinion or pass judgement on guilt or innocence — culpability is for the internal disciplinary or judicial process
   - → (C) Acceptable if the evidence is conclusive, because forensic work seeks conclusive evidence
   - → (D) Acceptable only in an interim report, since interim reports are outside FAIS 510

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Answers: 1 (B) — SM para 2 (p.17.4): detailed due diligence comes after parties agree in principle and reach a preliminary understanding, but prior to signing a binding contract. Trap (C): problems found must still be usable in price negotiation and warranty/indemnity clauses, so it must precede the binding contract. 2 (A) — SM p.17.10 lists show cause notices not matured into demands, letters of comfort (not "guarantees", hence undisclosed) and pending final customs assessments as hidden liabilities; "group company balances under reconciliation" and "investments carried at cost though realisable value is much lower" are in the over-valued assets list (p.17.11) — that is the trap in (B) and (C). 3 (B) — SM para 3 (p.17.5–17.6): financial due diligence should be performed after commercial due diligence; the term should be used with caution and not confused with overall review unless its scope is wide enough. (D) quotes the very view the SM calls "not appropriate"; (A) is wrong because tax due diligence is generally included in financial due diligence; (C) is wrong because commercial due diligence is generally done by the acquirer. 4 (D) — SM para 14 Step 3 (p.17.67) and TYK 18 answer: gaps in chain of custody mean evidence may be challenged or become inadmissible. (C) is the auditor's mindset; a forensic report expresses no audit opinion. 5 (B) — FAIS 510 point 5 (p.17.70). (A) is the trap: discussion of the draft only requires a summary of the subject's responses to be included; it does not permit a finding of guilt.

Case Scenario 2 — Deccan Urja Vitaran Nigam Ltd (SM Ch 15, 16)

Deccan Urja Vitaran Nigam Ltd (DUVNL), a power distribution company, was wholly owned by the State Government until March 2024. After an IPO in August 2024, the State Government holds 58% and the public 42%; the shares are listed on NSE. In FY 2025-26 the company had a turnover of ₹9,400 crore. Its Finance Manager told the board that "now that we are listed and watched by SEBI and the market, private-sector audit rules under the Companies Act will apply and the C&AG has no role left".

During FY 2025-26 an IAAD team under the Accountant General examined DUVNL's smart-meter programme. The team found that 2.4% of meters were defective against a permitted 1%, and that replacements took four to six months against the stipulated one month. It also found that a ₹14 crore divisional office building was completed in March 2021 with all sanctions in order but was occupied only in April 2025. The team asked three questions: (i) whether smart meters were bought at the best price and in due time; (ii) how the cost per new connection released compared with two neighbouring distribution companies; and (iii) whether the 3% fall in distribution losses was due to the smart-meter programme or to other causes, such as a tariff revision.

The State Legislature's financial committees are expected to take up the C&AG's report. One member suggested that the Audit Board that appraised DUVNL "should appear before the committee as an independent body in its own right".

Meanwhile, DUVNL's CFO wants the newly appointed Chief Internal Auditor, CA Rohan Kulkarni, to report to him, because "finance is the main area audited". He also wants CA Kulkarni to run the SEBI compliance-tracking system and correspond directly with SEBI, since "compliance with laws and regulations" is part of the agreed internal audit scope.

1. Which statement about the Finance Manager's view is correct as per the SM?
   - → (A) Correct; once listed, a company is governed only by the audit provisions for private-sector companies
   - → (B) Incorrect; DUVNL remains a government company because not less than 51% of its paid-up capital is held by the State Government; its auditors are appointed by the C&AG, who gives directions, may comment on their report and may conduct a supplementary audit — listing is irrelevant
   - → (C) Incorrect, but only because the C&AG reviews every company whose shares are listed
   - → (D) Partly correct; the C&AG's role continues only for reports laid under Article 151, while members now appoint the auditor
2. The observation about the divisional office building occupied four years after completion, though all sanctions were in order, is best described as an outcome of:
   - → (A) The regularity aspect of compliance audit
   - → (B) Propriety audit, which brings out improper, avoidable or infructuous expenditure even when incurred in conformity with rules
   - → (C) Financial audit, which is always an attestation engagement
   - → (D) The effectiveness aspect of performance audit
3. Which of the following statements is INCORRECT as per the SM?
   - → (A) The Estimates Committee does not comment on a policy approved by the legislature, but brings to the House's notice a policy that is not leading to the desired results
   - → (B) COPU exercises over public undertakings the same financial control that the PAC exercises over Government departments
   - → (C) The PAC satisfies itself that re-appropriation has been made in accordance with the provisions made
   - → (D) Audit Boards are separate legal entities that work independently of the C&AG and present their own findings to the committees
4. Questions (i), (ii) and (iii) asked by the IAAD team relate respectively to:
   - → (A) Economy, Efficiency, Effectiveness
   - → (B) Efficiency, Economy, Effectiveness
   - → (C) Economy, Effectiveness, Efficiency
   - → (D) Efficiency, Efficiency, Effectiveness
5. Which course is consistent with the SM on CA Kulkarni's position?
   - → (A) Report functionally to the CFO, as finance is the main audit area, and manage the compliance system because it is within scope
   - → (B) Be positioned outside the functions he audits and report to the Audit Committee (administrative reporting to the MD/CEO is possible if the Board approves and independence is not affected); audit the compliance framework but not manage it or correspond directly with SEBI
   - → (C) Manage the compliance system but refuse to correspond with SEBI, since only correspondence affects independence
   - → (D) As DUVNL is a government company, the internal auditor must be appointed by the C&AG and report to the Accountant General

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Answers: 1 (B) — SM p.15.6 and TYK 5 answer (s.2(45)): not less than 51% held by Government = government company; auditors appointed by the C&AG, who gives directions and has a right to supplementary/test audit; "listing of company's shares on a stock exchange is irrelevant". (D) is a trap mixing Article 151 (Government accounts) with company audit. 2 (B) — SM para 8.1 (p.15.29): the school building used five years after completion is the SM's example of avoidable expenditure; propriety audit looks at waste "even though the expenditure has been incurred in conformity with the existing rules". (A) fails because regularity is satisfied here. 3 (D) — SM p.15.6: Audit Boards have no separate legal entity and work under the supervision and control of the C&AG. (A), (B), (C) are SM text (p.15.7). 4 (A) — SM para 6: best price/due time = economy; cost per unit compared with others = efficiency (input-output; SM example "cost per job created"); whether impacts are due to the policy or other causes = effectiveness. 5 (B) — SM Ch 16 para 3 examples (listed company IA reports to Audit Committee, not CEO/CFO), TYK 6 answer (administrative reporting), TYU 2 answer (IA does not manage compliance framework or engage directly with regulators). (D) has no basis: s.138 appointment is by the company.

Case Scenario 3 — Sahyadri Lifesciences Ltd (SM Ch 13, 16)

Sahyadri Lifesciences Ltd (SLL), a listed company following Ind AS, prepares CFS for FY 2025-26. Its components are: Konkan Formulations Ltd (100%, year end 31 March); Indus Biotech Pvt Ltd (60%, acquired on 1 August 2025); Sahyadri Kenya Ltd (100%, local GAAP, year end 31 December 2025); Tapi Packaging Ltd (80%, year end 30 November 2025); a 50:50 joint venture, Vasai Biologics Pvt Ltd; and a 30% associate.

M/s Joshi Gokhale & Co. (JGC) audit SLL, Konkan Formulations and the CFS. Indus Biotech, Sahyadri Kenya and Tapi Packaging are audited by other auditors; their audited figures are: total assets ₹840 crore, revenues ₹610 crore, net cash inflows ₹18 crore. After permanent and current period consolidation adjustments, these become ₹790 crore, ₹560 crore and ₹18 crore.

During the year Konkan Formulations sold goods to SLL for ₹40 crore at a margin of 25% on sales; 30% of these goods were in SLL's inventory on 31 March 2026. SLL's finance team plans to (a) eliminate inter-company management fees of ₹6 crore, (b) harmonise Indus Biotech's depreciation policy with group policy, (c) convert Sahyadri Kenya's statements to Ind AS, and (d) determine goodwill and NCI on the Indus Biotech acquisition.

SLL has a 22-member internal audit department reporting to the Audit Committee. To finish by 20 May 2026, the JGC engagement partner proposes that the internal auditors give direct assistance by: (i) assembling information needed to resolve exceptions in debtors' confirmation replies; (ii) evaluating the impairment test of goodwill on consolidation; (iii) selecting debtors for confirmation and dispatching the requests; and (iv) choosing the depots for an unannounced inventory count.

1. The unrealised profit to be eliminated on the Konkan–SLL sale, and its nature, is:
   - → (A) ₹10 crore; current period adjustment
   - → (B) ₹3 crore; permanent consolidation adjustment
   - → (C) ₹3 crore; current period adjustment, with deferred tax recorded on the elimination as per Ind AS 12
   - → (D) ₹12 crore; current period adjustment
2. On using the financial statements of Sahyadri Kenya (31 December) and Tapi Packaging (30 November) for consolidation:
   - → (A) Both may be used with adjustments for significant transactions, as the SM allows up to six months
   - → (B) Sahyadri Kenya's may be used with adjustments for significant transactions in the gap; Tapi Packaging's gap exceeds the three months permitted for statements under Ind AS
   - → (C) Neither may be used, as component statements must always end on the parent's date
   - → (D) Both may be used without adjustment, as the auditor of each component has given an unmodified report
3. In JGC's report on the CFS, which is correct about the reference to the other auditors?
   - → (A) State ₹790 crore, ₹560 crore and ₹18 crore in an Emphasis of Matter paragraph, since these are the amounts in the CFS
   - → (B) State ₹840 crore, ₹610 crore and ₹18 crore in an Other Matter paragraph; the reference indicates divided responsibility and is not a qualification
   - → (C) State ₹840 crore, ₹610 crore and ₹18 crore in the Basis for Qualified Opinion paragraph, as JGC did not audit them
   - → (D) No figures are needed; naming the other auditors is enough
4. Which of SLL's planned items is a ***permanent*** consolidation adjustment, even though it is made for the first time in FY 2025-26?
   - → (A) (a) Elimination of inter-company management fees
   - → (B) (b) Harmonising Indus Biotech's depreciation policy
   - → (C) (c) Converting Sahyadri Kenya's statements to Ind AS
   - → (D) (d) Determining goodwill and NCI on the Indus Biotech acquisition
5. Which of the proposed direct-assistance tasks may JGC assign to SLL's internal auditors?
   - → (A) (i) only
   - → (B) (i) and (iii) only
   - → (C) (i), (iii) and (iv) only
   - → (D) (i), (ii), (iii) and (iv)

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Answers: 1 (C) — 40 × 30% = ₹12 crore in inventory × 25% = ₹3 crore. SM para 6.2 (p.13.18): unrealised intra-group profits and "record deferred taxes on unrealised intercompany profits elimination in accordance with Ind AS 12" are current period adjustments. (D) eliminates the whole inventory value; (B) mislabels it. 2 (B) — SM p.13.21: difference not more than six months under AS and three months under Ind AS; 31 December is three months, 30 November is four. (A) is the AS limit, wrong for an Ind AS group. 3 (B) — SM para 8.2 and TYU 3 answer: magnitude stated as total assets, revenues and cash flows not audited by the parent's auditor, presented before giving effect to permanent and current period adjustments, in an Other Matter paragraph; not a qualification. (A) uses post-adjustment figures; (C) treats it as a modification. 4 (D) — SM para 6.1: permanent adjustments are made on the first occasion or on a change in shareholding: goodwill/capital reserve and minority/NCI equity. (a), (b), (c) are SM current period items. 5 (A) — SM Ch 16 para 7.3 and TYK 5, 14 answers: IAs may assemble information to resolve confirmation exceptions; control over confirmation requests (SA 505), significant estimates such as goodwill impairment (significant judgement) and unannounced procedures (SA 240) cannot be assigned.

Standalone MCQs

1. Figures for FY 2024-25 (₹ crore). Bank/PFI borrowings and deposits are the highest outstanding at any time in that year. P Pvt Ltd: paid-up capital 80, turnover 190, bank borrowings 95, deposits 30. Q Ltd (unlisted public): paid-up capital 30, turnover 150, bank borrowings 60, deposits 26. R Ltd (unlisted public): paid-up capital 48, turnover 199, bank borrowings 101, deposits nil. S Ltd (listed): paid-up capital 5, turnover 12, no borrowings, no deposits. Which companies must appoint an internal auditor for FY 2025-26 under s.138?
   - → (A) S only
   - → (B) Q, R and S only
   - → (C) P, R and S only
   - → (D) P, Q, R and S
2. CA Meera is valuing a family-owned printing business for Mr. Arvind, who wants to buy it. Mr. Arvind asks her to "project the profit trend for the next five years and fix the price on that basis". Profits have risen steadily for six years and there is no evidence that the trend will change. As per the SM, she should:
   - → (A) Prepare the five-year projection, since the appointing authority has asked for it
   - → (B) Refuse to project the trend into future years; she may assume the established trend continues in the near future in arriving at the present value
   - → (C) Prepare the projection but qualify her opinion for uncertainty
   - → (D) Decline the engagement, since an investigator cannot value a business
3. Which pairing of "Investigation — Audit" is INCORRECT as per the SM table?
   - → (A) Evidence: seeks conclusive evidence — mainly concerned with prima facie evidence
   - → (B) Inherent limitations: none owing to its nature — suffers inherent limitation
   - → (C) Accounting principles: bound by accounting conventions, policies and disclosure requirements — governed by GAAP and audit procedures
   - → (D) Appointing agency: even a third party can appoint — appointed by owners/shareholders
4. CA Sanya, Chief Internal Auditor of a listed company, finds 46 issues from earlier internal audit reports still open. Consider: (i) under SIA 390, implementation of the action plans is her responsibility; (ii) she should monitor closure through a formal process whose elements are pre-agreed with management and those charged with governance; (iii) her Action Taken Report may classify status as Implemented/Not Implemented and give residual risk and rating for unimplemented actions; (iv) SIA 370 governs the quarterly comprehensive report she submits to the Audit Committee. Which are correct?
   - → (A) (i) and (ii) only
   - → (B) (ii) and (iii) only
   - → (C) (ii), (iii) and (iv) only
   - → (D) (i), (ii), (iii) and (iv)

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Answers: 1 (B) — SM Ch 16 p.16.5: every listed company (S); unlisted public with deposits of ₹25 crore or more (Q — ₹26 crore) or borrowings exceeding ₹100 crore (R — ₹101 crore); private company only on turnover ≥ ₹200 crore or borrowings exceeding ₹100 crore — P fails both, and paid-up capital and deposits are not criteria for a private company (the trap in C and D). 2 (B) — SM para 9(f) (p.17.24): refuse to be futuristic even if the appointing authority wants it; may assume the established trend continues in the near future, but should not project it into future years. (C) mixes in the "basis of opinion" issue. 3 (C) — SM p.17.17–17.18: investigation is analytical and the investigator is not bound by accounting conventions, policies and disclosure requirements. 4 (B) — SM para 6.1 (p.16.20–16.21) and TYK 10 answer: implementation stays with management, so (i) is wrong; SIA 370 deals only with the assignment-level Internal Audit Report, not periodic quarterly reporting (p.16.19), so (iv) is wrong.